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CORPORATE INFORMATION

MAELEZO YA SHIRIKA

Directors

J P M Ndegwa - Chairman
 F M Mbiru - Vice Chairman
 J W Macharia - Managing Director
 A Dodd*
 G A Maina
 F N Mwanzia
 A S M Ndegwa
 I Ochola-Wilson
 M L Somen
 * British

Audit and Compliance Committee

F N Mwanzia - Chairman
 F M Mbiru
 A S M Ndegwa

Credit and Risk Committee

F M Mbiru - Chairman
 F N Mwanzia
 A S M Ndegwa
 M L Somen

Nominations Committee

G A Maina - Chairman
 J P M Ndegwa
 M L Somen

Executive Committee

A S M Ndegwa - Chairman
 G A Maina
 M L Somen

Human Resources and Compensation Committee

I Ochola-Wilson - Chairman
 F M Mbiru
 A S M Ndegwa

Secretary

L Murage
 NIC House, Masaba Road
 P O Box 44599
 Nairobi-GPO 00100

Registered Office

NIC House
 Masaba Road
 P O Box 44599
 Nairobi-GPO 00100

Registrars and Transfer Office

Custody and Registrar Services Limited
 6th Floor,
 Bruce House
 Standard Street
 P O Box 8484
 Nairobi-GPO 00100

Auditors

Deloitte & Touche
 "Kirungii", Ring Road, Westlands
 P O Box 40092
 Nairobi-GPO 00100

Principal Correspondents

American Express Bank
 Citibank N.A
 Deutsche Bank

B R A N C H E S

NIC Hse Branch, Masaba Rd
 P O Box 44599 - 00100 GPO Nairobi
 Tel: 2888000/ 2718200
 0722 203885/6/7 0734
 600008/9
 Fax: 2888505/512

City Centre Branch
 Prudential Building, Junction of Kaunda
 & Wabera Street
 P O Box 30090 - 00100 GPO Nairobi
 Tel: 229251/2/ 341705/6
 0720 255977/ 0734 333262
 Fax: 251180

Westlands Branch
 The Mall
 P O Box 44599 - 00100 GPO
 Tel: 4451721/2/ 4450882
 Fax: 4450847

The Junction Branch
 Ngong Rd,
 P O Box 44599 - 00100 GPO
 Tel: 3874730/ 3878204
 Fax: 3875436

Harbour Hse Branch - Mombasa
 Harbour Hse Building, Moi Avenue
 P O Box 99797 - 80107 Mombasa
 Tel: 041 - 2223215/53
 0722 209512/ 0734 965397
 Fax: 041 - 2223255

Nakuru Branch - Nakuru

Vickers House, Moi Ave
 P O Box 136414 - 20100 Nakuru
 Tel: 2216624/2216668/ 2216688
 Fax: 2216761

Jeevan Bharat Bldg, Harambee Ave

P O Box 44599 - 00100 GPO Nairobi
 Tel: 253429/210661/9
 0723 786203/ 0736 660011
 Fax: 211757

Nyali Nakumatt, Nyali, Mombasa

P O Box 99797 - 80107 Mombasa
 Tel: 041 5487683/4
 0735 339004/ 0721 100873
 Fax: 041 5487682

NSSF Building, Nkurumah Road, Mombasa

P O Box 99793 - 80107 Mombasa
 Tel: 041 221743
 0720 017290/ 0733 966096
 Fax: 041 223535

Prestige Plaza, Ngong Road

P O Box 44599 - 00100 GPO Nairobi
 Tel: 3874073/50/ 3873970
 Fax: 2888523

S E R V I C E C E N T R E S

NIC Hse Building, Masaba Rd,
 P O Box 44599 - 00100 GPO Nairobi
 Tel: 2888217/218
 0722 203885/6/7
 0734 600008/9
 Fax: 2888523

20th Century Plaza,
 Mama Ngina Street
 P O Box 44599 - 00100 GPO Nairobi
 Tel: 213408/223908
 Fax: 2888523

Email: info@nic-bank.com

Website: www.nic-bank.com

MEMBERS OF THE BOARD

WAKURUGENZI



DIRECTORS



J P M Ndegwa
Chairman



J W Macharia
Managing Director



A J Dodd
Executive Director



F M Mbiru
Non-Executive Director



I Ocholla - Wilson
Non-Executive Director



MEMBERS OF THE BOARD WAKURUGENZI

DIRECTORS



▲
G A Maina
Non-Executive Director



▲
M L Somen
Non-Executive Director



▲
A S M Ndegwa
Non-Executive Director



▲
F N Mwanzia
Non-Executive Director



▲
L Murage
Company Secretary

MEMBERS OF THE BOARD

WAKURUGENZI



J P M Ndegwa (Chairman)

Mr. Ndegwa, aged 44, holds an MA degree from Oxford University, UK, and is an Associate of the Chartered Insurance Institute, UK and the Insurance Institute of Kenya. He is the Chairman of First Chartered Securities Limited and a director of several companies. Prior to his present position, he was the Managing Director of Lion of Kenya Insurance Company until 2003. He joined the NIC Board on 19 November 2003.

J W Macharia (Managing Director)

Mr. Macharia, aged 49, has a B. Comm (Hons) degree from University of Nairobi and an MBA from Henley Management College, UK. He is a Chartered Accountant (Institute of Chartered Accountants in England and Wales), as well as a Certified Public Accountant (Institute of Certified Public Accountants of Kenya). He has been Managing Director of various companies within the African Banking Corporation (ABC) Group, in both Zambia and Tanzania. He joined NIC Bank in May 2005 as Managing Director, and was appointed to the NIC Board on 1 May 2005.

A J Dodd (Executive Director)

Mr. Dodd, aged 53, has a BA (Hons) degree in Economics from Portsmouth University, UK. He is an Associate of the Chartered Institute of Bankers. He has extensive regional and international banking experience covering East and Southern Africa, Middle East and the Far East. He joined NIC Bank in January 2006 as Director, Corporate Business, and was appointed to the NIC Board on 22 February 2006.

F M Mbiru (Non-Executive Director)

Mr. Mbiru, aged 70, has a BA (Hons) degree from Makerere University and is an Associate of the Chartered Institute of Bankers. He is currently a Management Consultant and a director of several companies having retired as General Manager of Barclays Bank of Kenya in 1993. He joined the NIC Board on 16th February 1993.

I Ochola-Wilson (Non-Executive Director)

Mrs. Ochola-Wilson, aged 59 has a BA degree from Dar-es-Salaam University and an MBA from University of British Columbia, Canada. She is currently a Business Consultant having retired as a Project Manager for DFID's Business Partnership Programme in 2005. She joined the NIC Board on 5 November 1999.

G A Maina (Non-Executive Director)

Mr. Maina, aged 56, has a BTech (Hons) degree in Aeronautical Engineering and Design from Loughborough University, UK. He is currently a Business Consultant and a director of several companies. He has extensive experience in the Oil Industry in Africa, Caribbean and Central America including being Managing Director of Kenya Shell and BP Kenya Limited from 1998 to 2002. He joined the NIC Board on 1 June 2002.

M Somen (Non-Executive Director)

Mr. Somen, aged 71, is a Barrister-at-Law, Grays Inn, England, and holds an MA (Hons) degree from Brasenose College, Oxford. He is an Advocate of the High Court of Kenya, and a Consultant with Hamilton Harrison and Mathews having retired from the firm as Senior Partner in 2002. He joined the NIC Board on 21 February 2001.

A S M Ndegwa (Non-Executive Director)

Mr. Ndegwa, aged 40, holds a MA (Hons) degree in Philosophy, Politics and Economics from Oxford University, UK. He is the Executive Director of First Chartered Securities Limited and a director of several companies. He previously worked for Citibank and AMBank until 1995. He joined the NIC Board on 23 April 1997.

F N Mwanzia (Non-Executive Director)

Mr. Mwanzia, aged 63, has a B. Comm (Hons) degree from University of Nairobi and is a qualified member of the Association of Chartered Certified Accountants, UK and Chartered Institute of Secretaries and Administrators, UK. He is also a member of ICPAK and ICPSK. He is currently a businessman having retired as Group Financial Controller and Company Secretary of NAS Airport Services in 1999. He joined the NIC Board on 3 August 1995.

L Murage (Company Secretary)

Mr. Murage aged 50, has a B. Comm (Hons) degree from University of Nairobi and is a Certified Public Accountant and a Certified Public Secretary. He is also a member of ICPAK and ICPSK. He previously worked for Pricewaterhouse and Mobil Oil, before joining the banking sector in 1986. He is Director, Finance and Administration and was appointed Company Secretary on 2 September 1999.



CHAIRMAN'S REPORT

This robust and sustained growth in profitability is directly attributable to the successful implementation of NIC Bank's key strategic initiatives



I am very pleased to present the Annual Report and Financial Statements of NIC Bank Limited for the year ended 31 December 2007.

Business Environment

The operating environment was stable during the period under review on the back of the continued favourable growth of Kenya's economy. The Gross Domestic Product [GDP] grew by 7.0% in 2007 being even higher than the 6.1% growth rate achieved in 2006. Key contributors to the economic expansion have been tourism, construction, agriculture and financial services.

The overall twelve month level of inflation settled at 12% by December 2007, representing a significant decline from the 15.6% recorded in 2006. There was however sustained pressure on the cost of living mainly due to increased fuel and energy costs and a general escalation in prices of basic commodities including food stuffs.

The Kenya shilling continued to strengthen throughout the year moving from Shs.70.54 to the US dollar to Shs.62.54 with the annual average exchange rate being Shs.66.20. The shilling's strength reflected strong inflows of foreign exchange stemming from high short term capital inflows, buoyant tourism revenue and growing remittances from Kenyans abroad.

Short term deposit interest rates averaged 6.8% in 2007 although the 91 day Treasury bill rate reached a high of 7.9% in the middle of the fourth quarter.

The equity market registered a decline in 2007 with the NSE share index closing at 5,444 compared to 5,645 in 2006. Although most companies posted strong earnings growth, the market began the year at record levels following an extended bull run culminating in an overvalued market and, thus, a market

correction was inevitable. Financial sector stocks were once again the best performers.

The banking sector continued to record impressive growth. Overall, profitability rose by 30%, while the asset portfolio expanded by 26%. The banking sector performance indicators improved as evidenced by the decline in non-performing loans and improved capital adequacy ratios, the latter mainly arising from capital injections and retention of profits over the period.

Financial Results

In the year ended 31 December 2007, NIC Bank crossed a significant threshold and achieved a record profit before tax of Shs 1.05 billion. This is an increase of 55% from the profit of Shs 677 million reported in 2006, which in turn represented 60% growth over that for 2005. This robust and sustained growth in profitability is directly attributable to the successful implementation of the Bank's key strategic initiatives, including:

- Diversifying income streams and moderating reliance on interest income. In 2007, a 43% increase was recorded in non-funded income, from Shs 528 million in 2006 to Shs 754 million. In particular, the Treasury Division achieved significant success in the growth of foreign currency trading income, which escalated by 43% relative to 2006.
- Strengthening the Corporate Banking, Asset Finance and Business Banking segments all of which achieved success despite severe competition for quality business. These Divisions of the Bank have been structured to ensure innovation and quick turnaround time in the delivery of services to customers, thus gaining considerably greater market share.

CHAIRMAN'S REPORT



- The implementation of a pro-active risk management process, which has resulted in an enhanced quality of the funded portfolios and, with it, a material decline in bad debt provisions. Notwithstanding the significant growth in the Balance Sheet, net provisions for bad debts declined from Shs 133 million in 2006, to Shs 100 million in 2007.
- Cost containment measures, which resulted in only a marginal increase of 6% in operating costs, despite the expansion in the branch network and the annual average inflation of 12%. It should be noted that these control measures have been implemented without compromising the level of service and standards that differentiate the Bank from our competitors.

The total Balance Sheet size expanded by 20% to Shs 31.3 billion, underpinned by increased lending to customers of Shs 5.6 billion (or 34%) resulting in a total advances of Shs 22.2 billion compared to Shs 16.6 billion in the previous year. Customer deposits also grew significantly, increasing by Shs 2.8 billion (or 13%) to close the year at Shs 24.8 billion.

Capital

With the successes achieved in recent years, the Board recognized that to sustain future growth there would be need to strengthen further the Bank's capital base.

During the year, following careful planning and having sought both regulatory and shareholder approvals, the Bank raised Shs 1.1 billion in additional capital through a Rights Issue which was oversubscribed by 49%. The Rights Issue was followed by a very generous 2 for 1 Bonus Issue for all shareholders on the Register as at 6 December 2007.

As a consequence, the Bank's paid up capital now stands at Shs 1.48 billion and this with the revenue reserves as at 31 December 2007 has raised our total equity to Shs 4.7 billion. This strong capital base has elevated the Bank to be one of the highest capitalized banks in the country, and has provided the means to invest in further expansion and the capacity to transact even larger business deals.

Dividend

In recognition of the strong performance of the Bank in 2007, while being mindful of the importance of providing for future developments, the Board has recommended a final dividend of Shs 237, 353,907 (which on the now much larger number of shares represents Shs 0.80 per share). This is 31.8% of profit after tax, and will be the highest dividend ever paid in the history of the Bank.

Service Outlets and Products

Among the Bank's core values is the continued improvement in customer service and innovation, aptly demonstrated by the launching of new service delivery channels and various products during the year.

Since my last report, the Bank has opened three additional branches: Nyali and Nkrumah Road both in Mombasa, and one on Kenyatta Avenue in Nakuru. This expansion of outlets will continue in 2008, with the upgrading of the Harambee Avenue and Prestige Service Centres in Nairobi into fully fledged branches, and the opening of other branches in selected regions.

Complementing the branch expansion is our internet banking platform which is now in the final phase of testing and will undoubtedly be a welcome addition to our existing products and service delivery channels. This will be a leading edge product and superior system with enhanced security and a comprehensive range of services.

Diversification and Subsidiaries

NIC Bank has also been successful in the diversification of its business.

During 2007 our investment banking arm, NIC Capital, completed some key capital market mandates, including being the Transaction Advisor for the Bank's own Rights Issue. Towards the close of the year NIC Capital acquired a majority stake in a stock brokerage firm, Solid Investment Securities, which has a seat on the Nairobi Stock Exchange. This firm will be renamed NIC Capital Securities and with the strength and qualities that the NIC brand represents it will make a significant impact on the stock market sector.

Social Responsibility

The Bank continues to take cognizance of the wider society and the greater environment within which the business operates and has therefore continued to support needy projects in education and conservation of the environment amongst other deserving causes.

In 2007 the Bank participated in initiatives to enhance access to education including financial support through the Palmhouse Foundation which assists students from an underprivileged background pay for secondary education in leading national schools and the Beacon of Hope education charity trust which helps children and women impacted by the HIV/ AIDS pandemic. It also continued to support the Operation Smile project which assists poor children with cleft lips to receive corrective surgery.



CHAIRMAN'S REPORT

During the Christmas season, the Bank sought to spread some festive cheer by donating books and funds for utilities to various children's homes in Nairobi, Mombasa and Nakuru.

Financial Rating

During the year, our strong rating from Fitch was renewed. Fitch is a leading international rating agency of financial institutions and NIC Bank is one of only three local banks to receive a rating from them.

Human Resources

NIC Bank has always prioritized the well being of staff recognising that their unwavering commitment is critical to the current and future successes of the Bank. We take pride in the continuous investment in our employees and the human resource management systems, and the Board fully supports the Management's commitment to making NIC Bank the employer of choice.

In mid - 2007, Management carried out a staff survey with the aim of determining the level of employee satisfaction. From the information generated specific initiatives are being implemented including the establishment of 5 focus teams to collate and recommend improvements to be carried out both in the short and long term.

Future Outlook

The very troubled start to 2008 for Kenya following the December 2007 elections threatened not only to reverse the important economic and other gains made in recent years but also our very being as a Nation. It had previously seemed unthinkable that after 44 years of independence some amongst us would fail to see each other as fellow countrymen but tragically we have witnessed more than one thousand Kenyans lose their lives, hundreds of thousands dislocated, property destroyed and many businesses severely affected. We are now relieved and encouraged that Kenya's political leadership has resolved to come together and place the country ahead of personal ambition and we hope that this spirit will long prevail in order that peoples' lives may return to normality, lost ground be recovered and economic momentum regained. Ultimate stability and prosperity will only be assured when all Kenyans have sufficient stake in the same, and the process of achieving this must be a key focus for our leadership.

During this trying period, Management has placed special focus on the Bank's customers, assisting them where possible to ameliorate the adverse effects on their businesses. The Bank has also carried out comprehensive reviews and stress tested its funded portfolios in order to determine the likely impact on the Balance Sheet and Profit and Loss Account in 2008. Whereas it may be too early to accurately determine the overall financial

impact, indications are that the Bank's diversified business model and target markets will help to cushion it from the full effect of these challenging times.

NIC Bank shares the optimism and confidence exhibited by much of the Kenyan business community in the fundamental vitality of Kenya's economy which despite the circumstances has seen most of the key indicators retain remarkable value. Our expansion and investment plans remain on course and together with our customers we look forward to playing our part in the growth of our country. As always, your Bank will apply sound, prudent management, as our commitment to running a successful and socially responsible Kenyan business remains undiminished.

Appreciation

In appreciating all those who contributed to the very successful financial year 2007, I would like to begin by recognizing the important role played by our shareholders. We value your commitment to NIC Bank, including taking the time to attend the Annual General Meetings and satisfying yourselves as to the performance of your Bank. In 2007 we also held a very well attended Extra-ordinary General Meeting to approve the various matters surrounding the Rights Issue in which shareholders then participated so overwhelmingly.

I wish to convey my sincere gratitude to all our customers for their consistent support over the year. We are always conscious that there is a wide choice of financial institutions and are committed to ensuring that NIC Bank remains 'your kind of bank'.

We are also grateful to our regulators, the Central Bank of Kenya and the Capital Markets Authority for the co-operation and guidance that they extend to NIC Bank.

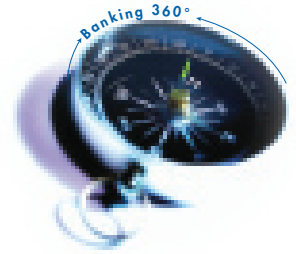
I wish to note with much appreciation the commitment and energy of the Management and the entire staff in achieving these outstanding results, and to assure them of the continued support of the Board as we strive to meet and exceed the expectations of our stakeholders.

Finally, I remain indebted to my fellow directors for their dedication and diligence as members of the Board and also in their service on the various committees of the Board which play a key role in the corporate governance of the Bank.

Thank you.

J P M Ndegwa
Chairman

25 March 2008



Nina furaha mno kuwasilisha kwenu ripoti ya kila mwaka ya taarifa ya kifedha ya benki ya NIC ya mwaka uliomalizikia tarehe 31, Desemba 2007.

Mazingira ya Kibiashara

Mazingira ya uendeshaji biashara yalinawiri mwaka tunaoungazia nyuma ya ufanisi wa kukua kwa uchumi wa Kenya. Pato la Ndani la Jumla (GDP) lilipata ongezeko la asilimia 7.0 mwaka wa 2007 hii ikiwa ni zaidi ya asilimia 6.1 ya ongezeko la kiwango kilichopatikana mwaka wa 2006. Wachangiaji wakuu waliopotea kuimarika kwa uchumi ni pamoja na sekta ya utalii, ujenzi, kilimo na huduma za kifedha.

Kiwango cha jumla cha miezi kumi na mbili cha mfumuko wa bei kilibaki kuwa asilimia 12 kufikia Desemba 2007, ikiwasilisha upungufu muhimu kutoka asilimia 15.6 uliorekodiwa mwaka wa 2006. Hata hivyo kulikuwa na hali ngumu ya maisha iliyotokana na ongezeko la gharama za mafuta na kawi na kuongezeka kwa bei za vitu muhimu vikiwemo vyakula.

Shilingi ya Kenya iliendelea kuimarika mwaka huo wote kutoka shilingi 70.54 kwa Dolla ya Marekani hadi shilingi 62.54 huku kiwango cha kadiri cha ubadilishanaji kikiwa shilingi 66.20. Kuimarika kwa shilingi kuliashiria kuingia kwa wingi wa sarafu za kigeni kutoka kiwango cha juu cha mtaji wa muda mfupi, mapato ya utalii na malipo kutoka kwa wakenya walio ng'ambo.

Viwango vya rubuni vya riba ya muda mfupi vilikuwa ni asilimia 6.8 mwaka wa 2007 ukizingatia kwamba viwango vya siku 91 za hazina ya hati za dhamana vilifikia asilimia 7.9 kwenye robo ya nne ya mwaka.

Kwenye mwaka wa 2007 soko la rasilimali liliandikisha upungufu kwenye soko la hisa la Nairobi huku viwango vyake vikifunga farahasa zake kwa kufikia 5,444 ukilinganisha na 5,645 mwaka wa 2006. Licha ya kwamba kampuni nyingi zilipata ongezeko, soko lilianza mwaka kufuatia viwango vya rekodi vilivyopanda hadi kufikia kilele kwenye thamani ya juu ya soko na hivyo basi marekebisha ya soko yalikuwa ni suala la lazima. Kitengo cha fedha kwa mara nyingine kilifanikiwa kufanya vyema.

Kitengo cha uwekaji pesa kiliendelea kurekodi ongezeko la kuvutia. Faida ya jumla iliongezeka kwa asilimia 30, wakati ambapo mali iliyowekwa kwa faida iliongezeka kwa asilimia 26. Ufanisi wa kitengo cha uwekaji pesa ulionyesha kunawiri kama ushahidi wa kupungua kwa mikopo isiyotumika na kuimarika kwa mtaji wa mgao wa utoshelezi huku ongezeko likipatikana kutokana na mtaji na akiba ya faida ya kipindi hicho.

Matokeo ya Kifedha

Katika mwaka uliomalizikia tarehe 31 Desemba 2007, Benki hii ilipitisha viwango vyake vya thamani na ikafaulu kutia rekodi ya faida ya shilingi bilioni 1.05 kabla ya ushuru. Hili ni ongezeko la asilimia 55 kutoka kwa faida ya shilingi milioni 677 iliyorekodiwa mwaka wa 2006, ambayo ilikuwa ni ongezeko la asilimia 60 dhidi ya ongezeko la mwaka wa 2005. Ongezeko hili muhimu na maendeleo endelevu ya faida linachangia moja kwa moja kwenye kuanzisha mikakati ya utekelezaji na uimarishaji wa Benki ya NIC ikiwemo:

- Kupanua njia za mapato na kusawazisha utegemeaji wa mapato ya riba. Katika mwaka wa 2007 kulikuwa na ongezeko la asilimia 43 kwenye kipato kisicho na hazina, kutoka shilingi milioni 528 mwaka wa 2006 hadi shilingi milioni 754. Hususan kwenye kitengo cha hazina za hati ya dhamana kilichopata mafanikio muhimu kwenye kuimarika kwa kipato cha biashara cha sarafu za kigeni, ambacho kiliongezeka kwa asilimia 43 ikilinganishwa na mwaka wa 2006.
- Kuimarisha shirika la uwekaji pesa za kibiashara, kugharamia amali na kitengo cha biashara cha uwekaji pesa ambavyo vyote vilileta mafanikio licha ya kwamba kulikuwa na ushindani mkubwa kwenye soko la kibiashara. Vitengo hivi vya benki vimewekwa ili kuhakikisha kwamba kunakuwa na vitu vipya na mabadiliko ya haraka ili kutoa huduma bora kwa wateja wetu, hivyo basi kupelekea kuimarika kwa soko la hisa.
- Utekelezaji wa hatua nzuri za usimamizi-kabla-ya-hatari, ambao umesababisha kuimarika hazina iliyowekwa kusimamia faida, na kutokana na hilo, kupunguza madeni yaliyotengwa ambayo hayalipwi. Licha ya kuwa na ongezeko muhimu kwenye maelezo ya mahesabu katika biashara, mikopo halisi iliyotengwa ambayo hailipwi ilipungua kutoka shilingi milioni 133 mwaka wa 2006, hadi shilingi milioni 100 mwaka wa 2007.
- Mbinu za kukabili gharama ya juu, ambazo zilisababisha ongezeko la asilimia 6 kwenye gharama za uendeshaji shughuli za kibiashara, licha ya kupanua mtandao wa matawi yake na mfumuko wa bei wa wastani wa kila mwaka wa asilimia 12. Ni lazima itambulike kwamba, hatua hizi za uthibiti zimewekwa bila kudunisha na viwango vya huduma na viwango vinavyotofautisha benki yetu na wapinzani wetu.

Maelezo ya mahesabu ya biashara ya jumla yaliongezeka kwa asilimia 20 hadi shilingi bilioni 31.3 ambapo mikopo ya wateja iliongezeka hadi shilingi bilioni 5.6 (ama asilimia 34) mpaka kufikia shilingi bilioni 22.2 ikilinganishwa na shilingi bilioni 16.6



TAARIFA YA MWENYEKITI

za mwaka uliotangulia. Kiwango cha fedha ambacho wateja waliweka kiliongezeka hadi kufikia shilingi bilioni 2.8 (ama asilimia 13) na kufunga mwaka kwa shilingi bilioni 24.8.

Mtaji

Kutokana na mafanikio yaliyopatikana miaka iliyotangulia, halmashauri iligundua kwamba, ili kumudu mustakabali wa mafanikio haya kuna umuhimu wa kuimarisha zaidi msingi wa mtaji wa benki yetu.

Katika mwaka huo kufuatia mipango thabiti na baada ya kutafuta idhini ya mara kwa mara na ya wenye hisa na wasimamizi, benki ilipata ongezeko la shilingi bilioni 1.1 kwenye mtaji wa ziada kupitia gawio la haki ambalo lilitolewa kwa wingi kwa asilimia 49. Gawio la haki lilifuata unyonyo gawio la 2 kwa kila gawio 1 la ziada kwa wenye hisa wote walioko kwenye rejesta kufikia tarehe 6 Desemba 2007.

Kutokana na hali hiyo, mtaji ulilipwa na benki sasa unasimamia shilingi bilioni 1.48 na hili pamoja na akiba ya mapato kufikia 31 Desemba 2007 yameongeza rasilimali yetu ya jumla hadi kufikia shilingi bilioni 4.7. Msingi huu bora wa mtaji umeipandisha daraja benki yetu na kuifanya iwe miongoni mwa benki bora humu nchini, na imetoa njia muafaka za kupanua uwekezaji na kuonyesha uwezo wa kujizatiti kushiriki katika biashara kubwa kubwa.

Mgawo

Kwa kutaka kutambua ufanisi bora wa benki hii mwaka wa 2007, huku ukizingatia umuhimu wakuleta maendeleo ya siku za usoni, halmashauri limependekeza mgawo wa mwisho wa shilingi 237,353,907 (ambao kwa mtazamo wa sasa unawakilisha asilimia kubwa ya shilingi 0.80 kwa hisa). Hii ni asilimia 31.8 ya faida baada ya kutozwa ushuru na ndio utakao kuwa mgawo mkubwa kuwahi kulipwa katika historia ya Benki.

Matawi ya Kuhudumia Wateja na Bidhaa

Baadhi ya vitu ambavyo benki hii inavyovithamini zaidi ni pamoja na kudumisha mbinu bora za utoaji huduma kwa wateja na kuvumbua mambo mapya ya kufaa yaliyoonyeshwa katika mikakati ya kuzindua huduma mpya na njia muhimu za kuwasilisha huduma hiyo pamoja na bidhaa mbalimbali mwaka huo.

Kutoka kipindi kile nilipotoa ripoti yangu ya mwisho, benki imefanikiwa kufungua matawi matatu zaidi: Huko Nyalali kwenye Barabara ya Nkuruma yote yakiwa jijini Mombasa, na nyingine moja katika barabara ya Kenyatta mjini Nakuru. Na mwaka huu wa 2008 tutaendelea kupanua matawi yetu, hii ni pamoja na kuboresha tawi lililoko katika barabara ya Harambee na Vituo vya Huduma jijini Nairobi katika hali ambayo itawezesha matawi hayo kujisimamia, kufungua matawi mengine kwenye maeneo yaliyochaguliwa.

Kuwepo kwa mikakati ya kukamilisha mradi wa Mtandao wa Benki yetu kumechujusha harakati zetu za kuongeza matawi humu nchini, lakini hii ni mbinu mojawapo ya kuendesha shughuli za benki na kutangaza bidhaa zetu kikamilifu. Hata hivyo, hii itakuwa ni bidhaa inayoongoza na yenye mfumo wa hali ya juu ikiwa na usalama wa kutosha na huduma bora mbalimbali.

Upanuzi na Kampuni Tanzu au Uda

Benki ya NIC pia imefanikiwa kupanua biashara zake.

Kwenye mwaka wa 2007 kitengo kinachohusiana na uwekezaji wa shughuli zetu muhimu za benki, ambacho ni kile cha Mtaji wa NIC, kilitekeleza uwezo wake mkuu wa soko la mtaji, ikiwemo kuwa mshauri wa shughuli za gawio la haki kwenye benki. Hadi kukaribia mwisho wa mwaka, mtaji wa NIC ulipata kitegauchumi kwenye mashirika ya udalali wa hisa, nyaraka za hisa na dhamana za uwekezaji, ambazo zina nafasi kwenye Soko la ubadilishanaji wa Hisa la Nairobi. Shirika hili litabadilishwa jina litawe NIC Capital Securities na kutokana na kuimarika na ubora wa shughuli ambazo NIC huwakilisha, bila shaka kutakuwa na mapigo ya kibiashara kwenye kitengo hicho cha soko la hisa.

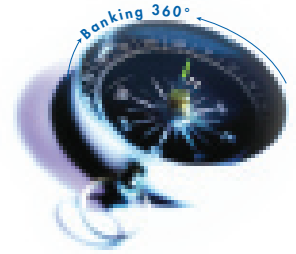
Jukumu la Jamii

Benki inaendelea kuizingatia jamii na mazingira ambayo biashara inaendeshwa na imeendelea kutoa usaidizi kwenye miradi ya elimu na kuhifadhi mazingira pamoja na miradi mingine inayostahili usaidizi mkubwa. Mwaka wa 2007 Benki hii ilishiriki kwenye uamuzi wa pamoja wa kuboresha elimu ikiwemo usaidizi wa kifedha kupitia Mfuko wa Fedha wa 'Palmhouse' unaowasaidia wanafunzi kutoka familia masikini kwa kuwalipia karo za shule za upili katika Shule bora za Kitaifa za humu nchini na 'Beacon Of Hope Education Charity Trust', ambayo inasaidia watoto na kina mama waliodhurika na ugonjwa wa Ukimwi. Pia inaendelea kusaidia mradi wa 'Operation Smile' ambao unawasaidia watoto maskini waliopinda midomo waweze kupata matibabu ya upasuaji.

Wakati wa kipindi cha Krismasi, Benki ilieneza heri na fanaka ya Krismasi kwa kupeleka zawadi kama vile vitabu na pesa za matumizi kwa makao mbalimbali ya watoto katika miji ya Nairobi, Mombasa na Nakuru.

Viwango vya Kifedha

Katika kipindi cha mwaka uliomalizika, ubora wa viwango vyetu ulielezwa na taasisi ya Kimataifa ya mawakala (Fitch). Taasisi hii ya Kimataifa ya mawakala ndiyo inayoongoza kwenye taasisi za kifedha, na Benki ya NIC ni miongoni mwa benki tatu tu za hapa nchini ziliyopata fursa hiyo ya kipekee ya kuorodheshwa na taasisi hiyo.



Usimamizi wa Wafanyikazi

Benki ya NIC imekuwa ikiwapa wafanyikazi wake kipaumbele kutokana na kujitolea kwao katika kufanya kazi kwa moyo mkunjufu. Jambo ambalo litaleta ufanisi siku za usoni katika usimamizi wa Benki hii. Tunajivunia kuendelea kuwekeza kutokana na kufanya kazi kwa ushirikiano wa wafanyikazi wetu na mfumo wa usimamizi wa wafanyikazi na baraza limejitolea kuunga mkono usimamizi ili kuifanya Benki ya NIC kuwa chaguo lako la mwajiri.

Katikati mwa mwaka wa 2007, wasimamizi walifanya tathmini kwa minajili ya kutaka kujua jinsi gani wafanyikazi wanaridhika. Kutokana na taarifa iliyotolewa baadhi ya mambo muhimu yanatekelezwa ikiwemo: Kuanzisha vikundi 5 vitakavyo angazia baadhi ya mambo na kupendekeza kwenye maendeleo yatakayofanyika katika kipindi cha muda mfupi na yale ya kudumu.

Mtazamo wa siku za baadaye

Mwaka wa 2008 ulianza vibaya kutokana na vurugu za kisiasa zilizotokea baada ya uchaguzi mkuu humu nchini, jambo ambalo lilitishia sio tu kurudisha uchumi nyuma na baadhi ya mambo muhimu ambayo yalikuwa yamefanyika na Taifa zima kwa ujumla. Hapo mbeleni haikudhaniwa kwamba baada ya miaka 44 ya kupata uhuru baadhi yetu wangekosa utu wakutambua kwamba Wakenya tunaishi kama ndugu na badala yake tumeshuhudia zaidi ya wakenya Elfu moja wakipoteza maisha yao, maelfu miongoni mwao wakiachwa bila makao, mali kuharibiwa na biashara nyingi zikiathiriwa vibaya sana. Sasa tuna afuweni na bila shaka tunajipa moyo kwamba viongozi wa kisiasa wamesuluhisha na kuungana pamoja kuiweka nchi mbele zaidi ya matakwa yao na tuna matumaini ya kuwa kutokana na maafikiano hayo, tuna imani kwamba amani itadumu ili kuhakikisha kwamba maisha ya watu yanarudi katika hali ya kawaida, vitu vilivyoharibiwa vikarabatiwe na uchumi uimarike. Ustawi na utendaji kazi utaimarika iwapo wakenya wote watakuwa na kitegauchumi. Na hatua za kuhakikisha jambo hili lazima liangaziwe vyema na vingozi wetu.

Wakati wa kipindi hiki kigumu, wasimamizi wanaangazia macho kwa wateja wao wa Benki, wanajaribu kuwasaidia pale inapowezekeana ili kurudisha matumaini ya kuboresha biashara zao zilizothirika. Benki pia imefanya tathmini ya kina na kujaribu kuangalia mfuko wake ili kubainisha hasara itakayo patikana kwenye Toleo la Mahesabu ya kibishara na Akaunti ya Faida na hasara ya mwaka wa 2008. Hata hivyo, itakuwa ni mapema sana kutambua hasara ya kifedha iliyopatikana, matazamio yetu ni kuwa Benki itageuza mbinu zake na kulenga soko litakaloelezea kikamilifu hasara iliyopatikana kipindi hicho.

Benki ya NIC inashirikiana kikamilifu na hali kadhalika ina imani kamili inayotokana na wanabiashara wa Kenya kwa kuzingatia uchumi wa nchi licha ya yale yaliyotokea, imani hiyo imeonyesha kuimarika kwa thamani yake. Bado mipango yetu ya kujipanua na kuwekeza zaidi ipo, pamoja na kuisimamia vyema. Kama kawaida Benki yako itatumia mbinu muafaka na kanuniza usimamizi bora kama njia mojawapo ya kujitolea kuendesha ufanisi na kudumisha jukumu la kibiashara nchini Kenya.

Shukurani

Kwa kuwashukuru wote waliochangia kuleta matokeo mazuri ya kifedha ya mwaka wa 2007, ningependa kuchukua fursa hii kuangazia majukumu muhimu yaliyofanywa na wenye hisa wetu. Benki ya NIC inathamini sana kujitolea kwenu, hii ni pamoja na nyie kutumia muda wenu kuhudhuria Mkutano Mkuu wa Mwaka na kuridhika na matokeo ya Benki yenu. Mwaka wa 2007 pia tulikuwa na mkutano wa ziada wa kuthibitisha maswala yaliyokuwa yanakumba gawio la haki ambapo wenye hisa walijitokeza kwa wingi kuhudhuria mkutano huo.

Ningependa kuchukua fursa hii kutoa shukurani zangu za dhati kwa wateja wetu wote kwa ushirikiano wao wa mwaka uliomalizika. Tuna imani ya kwamba ziko taasisi nyingi za kifedha lakini hata hivyo walijitolea na waliamua kwamba Benki ya NIC ibaki kuwa 'Benki wanayoitaka'.

Pia tunatoa shukurani kwa wasaidizi wetu, Benki Kuu ya Kenya na Mamlaka ya Masoko ya Mtaji kwa ushirikiano na mwongozo wao waliotoa kwa Benki ya NIC.

Ningependa kutoa shukurani kwa wasimamizi na wafanyikazi kwa kujitolea kwa moyo mkunjufu kufanikisha matokeo bora, na kuwahakikishia kwamba kutakuwa na ushirikiano na halmashauri ili kuhakikisha kwamba tunayafikia malengo na matarajio yetu.

Kwa kutamatisha, nabaki kuwa mdeni wa Wakurugenzi wenzangu kufuatia kujitolea kwao na uungwana wao kama wanachama wa halmashauri na kadhalika kwa huduma yao nzuri kwenye kamati mbali mbali zinazotekeleza majukumu kabambe ya usimamizi bora wa Benki yetu.

Asante sana.

J P M Ndegwa
Mwenyekiti

Machi 25, 2008



CORPORATE GOVERNANCE

Corporate governance is the philosophy, discipline, systems and processes which ensure that a business is run in a transparent, just and equitable manner that ultimately protects the long term future and interests of all shareholders.

The business and affairs of NIC Bank are directed and supervised collectively by a Board of Directors which is committed to the highest standards of corporate governance. The principles and standards adhered to by the Board have been developed with close reference to guidelines on corporate governance developed by the Centre for Corporate Governance, the Capital Markets Authority for publicly listed companies in Kenya, the Central Bank of Kenya for the banking industry and other best practices. The Board's focus is predominantly to achieve compliance with the qualitative aspects of good governance while ensuring that implementation matches the needs of the business.

Board of Directors

The Board consists of a Chairman, JPM Ndegwa, seven non-executive directors and two executive directors. The directors' abridged biographies appear on page 5 of this Annual Report. All the non-executive directors are independent of management and have a diverse range of expertise and experience.

All the non-executive directors are subject to retirement by rotation and seek re-election by shareholders at least once every three years in accordance with

the Articles of Association. Any director appointed during the year is required to retire and seek re-election at the next Annual General Meeting.

Board Responsibilities

The Board is responsible for setting the direction of the Bank, corporate values and standards, and ensures that its obligations to shareholders and other stakeholders are understood and met. Matters dealt with by the Board include:-

- Providing entrepreneurial leadership to the Bank within a framework of prudent and effective controls which enable risk to be assessed and managed,
- Strategy formulation and ensuring that there are adequate policies, systems and structures to successfully implement the Bank's strategies,
- Monitoring the Bank's performance against strategic plans and objectives on an ongoing basis, as well as through mandatory quarterly meetings,
- Approval for publication of quarterly financial statements,
- The selection, appointment and appraisal of senior executive officers who are qualified and competent to manage the affairs of the Bank effectively,
- Ensuring that there are adequate structures and systems to identify, measure and monitor the Bank and manage key risks facing the Bank, including compliance related risks,
- Reviewing the effectiveness of the systems for monitoring and ensuring compliance with laws and regulations,
- Determining the terms of reference of all board committees and

review of reports and minutes of the committees.

To enable the Board to function effectively and allow directors to discharge their responsibilities, full and timely access is given to all relevant information. The information needs of the Board are continually reviewed and assessed, and directors have complete access to all records and documents they may require.

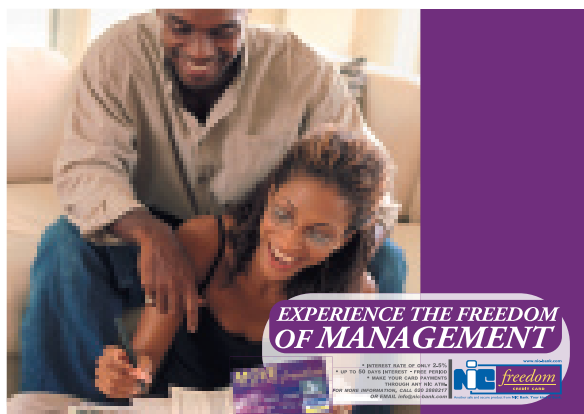
Strategic issues are reviewed regularly through the quarterly Managing Director's report, while monthly management accounts are circulated to each director within three weeks of the month-end containing an analysis of each business segment's financial performance, including comparisons against budget and prior year.

The Board calendar is arranged to ensure that all key matters are dealt with on a scheduled basis over the course of the year. The documentation for Board meetings consists of a comprehensive set of papers, including regular business progress reports and discussion documents regarding specific matters.

In addition, all directors have access to the advice and services of the Company Secretary, who is responsible for ensuring that the Board procedures are followed.

Delegation of Authority and Effective Control

The Board achieves effective control over the Bank's operations through a properly formulated corporate governance structure that includes various Board committees. The committees regularly report to the Board in terms of their agreed mandates while management performance is monitored through effective and regular reporting against Board approved strategies and budgets. The committees also enjoy unrestricted access to all information and records they may need.





Board Chairman and Managing Director

The roles and responsibilities of the Chairman of the Board and the Managing Director remain distinct and separate. The Chairman provides overall leadership to the Board without limiting the principles of collective responsibility for Board decisions. The Managing Director is responsible to the Board and takes responsibility for the effective and efficient running of the Bank on a day-to-day basis.

The Board and Directors' Evaluation

The executive element of the Board is balanced by a strong independent group of non-executive directors such that no individual or small group of individuals can dominate the Board's decision-making. Procedures are in place to enable directors to satisfy themselves on the integrity of the Bank's financial information and that financial controls and systems of risk management are robust and secure. The non-executive directors have the competence, integrity and experience required for them to deliberate and support Management in the running of the Bank.

The Board performs an annual self-assessment of its performance, which includes the review of the suitability of its composition, the diversity of skills and experience on the Board performance against the terms of reference and succession planning. For 2007 it was determined that the Board was well composed, and had effectively carried out its role and responsibilities to the Bank's various stakeholders. The review also covers the performance of individual Board members during the year and all were rated highly. A report on the review findings is also submitted to the Central Bank of Kenya.

Board Remuneration

Non executive-directors are paid a monthly fee, together with a sitting allowance for every meeting attended. They are not eligible for pension scheme membership and do not participate in

any of the Company's remuneration schemes.

Details of the directors' fees for the non-executive directors and remuneration of the executive directors are set out on page 60

Directors' Shareholding

No director holds shares in his individual capacity that is more than 1% of the Company's total equity.

Board Meetings

The Board meets at least once every three calendar months. In addition, ad hoc meetings are convened occasionally to dispense with any urgent Bank business. At least two weeks prior to each scheduled meeting, the directors are furnished with a comprehensive set of board papers to enable them adequately prepare themselves for the meeting.

Conflict of Interest

The directors of the Bank are under a fiduciary duty to act honestly and in the best interests of the institution. NIC Bank has instituted a policy to ensure that directors avoid putting themselves in positions where their self interests conflict with their duty to act in the best interest of the Bank. The directors make annual declarations of their interests which include:-

- An acknowledgement that should it come to their attention that a matter concerning the Bank may result in a conflict of interest, the director is obliged to declare the same and will exclude themselves from any discussion or decision over the matter in question.
- An acknowledgement that should the director be appointed to the Board or acquire a significant interest in a business competing with the Bank, the director will be obliged to offer their resignation.
- An acknowledgement that the foregoing also applies to interests of immediate members of their families.

Business transactions with the directors or their related parties are disclosed on page 73.

Committees of the Board

As noted above, several committees have been established to assist the Board in discharging its responsibilities and obligations. However, the Board is cognizant that this does not detract from its ultimate collective accountability for the performance and good governance of the Bank.

The committees of the Board consist of a balanced mix of non-executive directors. Executive management and outside service providers and experts may attend by invitation as circumstances dictate.

The Board has constituted the following committees: Audit and Compliance; Human Resources and Compensation; Nominations; Executive, and Credit and Risk Committees. Other ad hoc Committees are set up as and when the need arises and these Committees regularly report to the Board on their activities. Membership and attendance of these committees are provided on page 15. Details of these committees are given below.

Audit and Compliance Committee

The committee is chaired by a non-executive director, F N Mwanzia, and has two other non-executive directors. In addition, the Managing Director and Internal Auditor are in attendance by invitation. Other Heads of Department are invited as and when required. The external auditors are invited from time to time but at least once in a year.

The committee meets quarterly to review the financial reporting process, ensuring that adequate internal, financial and operating controls are addressed and monitored by Management. The committee, to whom the Internal Auditor reports, reviews Internal Audit Reports and also ensures that appropriate action has been taken and recommendations implemented.



CORPORATE GOVERNANCE

Human Resources and Compensation Committee

This committee of the Board comprises three non-executive directors and is chaired by I Ochola-Wilson. The Managing Director, the Executive Director, the Director of Finance and the Director of Human Resources are in attendance by invitation.

The committee's main responsibility is to ensure that the Bank's human resource policies are in line with the best market practice. It also determines, on behalf of the Board, specific remuneration packages for the senior management. It may seek external professional advice if deemed necessary in order to carry out its responsibilities.

It is the Bank's policy to provide remuneration packages that fairly reward staff for their contribution to the business, whilst considering the need to attract, retain and motivate staff of the highest calibre.

The committee also reviews development and succession plans for senior executive management of the Bank.

Nominations Committee

The committee meets on an ad hoc basis and is comprised of three non-executive directors, chaired by G A Maina.

The committee's main role is to make recommendations to the Board to fill vacancies for executive and non-executive directors. In making recommendations, the committee looks at the mix of skills, expertise and how the new appointment will add value to the present complement. In turn, the Board as a whole approves the appointment and removal of directors.

Executive Committee

This committee comprises three non-executive directors and is chaired by A S M Ndegwa. The Managing Director, Executive Director and the Director of Finance are in attendance by invitation.

The committee meets regularly to review and recommend for Board approval

periodic strategic business plans and key policy guidelines as developed by Management from time to time.

Credit and Risk Committee

This committee comprises four non-executive directors chaired by F M Mbiru and oversees the overall lending and risk management policies of the Bank. The Managing Director, the Executive Director, the Director of Risk and the Director of Finance are in attendance by invitation. Other senior managers are invited to attend as and when required.

A risk management framework has been established for measuring, monitoring, controlling and mitigation of the Bank's risks. This framework is integrated in the overall management information systems of the Bank and appropriately supplemented by a management reporting structure.

The committee's primary function is to assist the Board in fulfilling its risk management responsibilities as defined by applicable laws and regulations as well as internal policies. The committee meets at least once a month to consider credit applications and renewal of existing facilities within limits set by the Board. It is also tasked with the responsibility of:-

- Ensuring the integrity and adequacy of the risk management function of the Bank,
- Reviewing certain risk limits and regular risk reports and making recommendations to the Board,
- Ensuring that there are effective procedures to identify and manage irregular problem credits, minimize credit loss and maximize recoveries.

The risk management policies which are reviewed quarterly by the committee are as detailed on pages 44 to 55 and are in line with International Financial Reporting Standards.

Management Committees

A significant factor in the Bank's ongoing success is the strength of the management team. Members of the management team bring together a vital combination of leadership skills, extensive banking experience from both local and international exposure. To harness that strength, the Managing Director has established committees to assist him in the management of the Bank. These committees are chaired by the Managing Director and include the respective Heads of Department, with other senior managers being co-opted from time to time. These committees include:-

- **The Executive Management Committee (EXCOM):-** This committee meets fortnightly to discuss strategy formulation and implementation, policy matters and financial performance. It is also charged with the responsibility of ensuring compliance with the regulatory framework and guidelines and adherence to company policy and procedures. This committee also serves as a link between the Board and Management.
- **The Management Committee (MANCOM):-** This Committee meets monthly to review operational issues of the Bank, with emphasis on the assessment and monitoring of the institution's operational risk.
- **The Assets and Liabilities Management Committee (ALCO):-** This committee meets every month and more frequently when necessary. The core responsibility of this committee is the monitoring and management of the assets and liabilities of the Bank. This





includes management of operational risks, interest rate and exchange rate risks and ensuring compliance with statutory requirements governing liquidity, cash ratio, foreign exchange exposure and investment policies.

- **The Risk Management Committee** meets regularly to approve new credit applications and renewals within the delegated limits set by the Board. The committee also regularly makes recommendations to the Board Credit and Risk Committee on the revision of limits.
- **The Senior Risk Committee** meets monthly to review the performance of the Bank's lending book and determines the level of provisions required in accordance with the approved policies and regulatory guidelines.

Relationship with Shareholders

The Bank publishes audited annual accounts which are sent out to all the shareholders.

All shareholders are entitled to attend the Annual General Meeting and receive a Notice of Meeting, which is posted at least 21 clear days before the Annual General Meeting.

Shareholders also have direct access to the Company Secretary or the Company's registrars, Custody & Registrar Services, and the Company regularly responds to numerous letters from the shareholders on a wide range of issues.

The Bank's results are published in the daily newspapers every quarter in line with the Central Bank of Kenya requirements.

Latest results are also available on the website, www.nic-bank.com.

All shareholders have the opportunity to ask questions on any matter relating to the Bank at the Annual General Meeting and to meet directors informally after the meeting.

Internal Control

The directors acknowledge their responsibility as set out on page 27 for the Bank's system of internal financial control, including taking reasonable steps to ensure that the systems are being maintained. Internal control systems are designed to meet the particular needs of the Bank, and the risks to which it is exposed with procedures intended to provide effective internal financial control. However, such a system can only provide reasonable assurance against material misstatement.

2007 BOARD & BOARD COMMITTEES MEMBERSHIP AND ATTENDANCE

Director	Classification	Designation		Board	Audit & Compliance	Credit & Risk	Human Resources & Compensation	Executive
J P M Ndegwa	Non-executive	Chairman Board	Membership	✓				
			Attendance	7/7				
F M Mbiru	Non-executive	Chairman Credit & Risk Committee	Membership	✓	✓	✓	✓	
			Attendance	7/7	3/4	10/11	2/2	
J W Macharia	Executive	Managing Director	Membership	✓				
			Attendance	7/7	4/4	11/11	2/2	2/2
G A Maina	Non-executive	Chairman Nominations Committee	Membership	✓				✓
			Attendance	7/7				2/2
F N Mwanza	Non-executive	Chairman Audit & Compliance Committee	Membership	✓	✓	✓		
			Attendance	7/7	4/4	11/11		
A S M Ndegwa	Non-executive	Chairman Executive Committee	Membership	✓	✓	✓	✓	✓
			Attendance	6/7	4/4	10/11	2/2	2/2
I Ochola-Wilson	Non-executive	Chairman Human Resources and Compensation Committee	Membership	✓			✓	
			Attendance	7/7			2/2	
M I Somen	Non-executive		Membership	✓		✓		✓
			Attendance	5/7		8/11		2/2
A Dodd	Executive		Membership	✓				
			Attendance	6/7	4/4	10/11	2/2	2/2

✓ Member of respective committee

- Where a director missed to attend Board or Board Committee meeting, an acceptable apology had been received by the Chairman well in advance of the scheduled meeting.
- There was no cause to convene a meeting of the Board Nominations Committee during the year.



CORPORATE GOVERNANCE

SHARE HOLDING

The number of shareholders as at 31 December 2007 was 20,755 (2006 - 17,897).

A. PRINCIPAL SHAREHOLDERS

The top 10 shareholders, based on the Bank's share register as at 31 December 2007 are as follows: -

Name	No. of Shares	%
First Chartered Securities Ltd	48,783,618	16.44
ICEA Asset Management Ltd	27,947,193	9.42
Livingstone Registrars Ltd	24,114,933	8.13
Rivel Kenya Ltd	22,933,275	7.73
Duncan Nderitu Ndegwa	13,533,825	4.56
Saimar Ltd	12,256,668	4.13
Amwa Holdings Ltd	5,866,938	1.97
Kenya Commercial Bank Nominees Ltd A/C769G	4,912,665	1.65
Thuthuma Ltd	3,783,720	1.27
Makimwa Consultants Ltd	3,741,618	1.26
TOTAL	167,874,453	56.56

B. DISTRIBUTION SCHEDULE

Category	No. of Shareholders	No. of Shares	%
1-500 shares	4,202	1,090,242	0.37
501-5,000 shares	13,663	22,282,418	7.51
5,001-10,000 shares	1,410	9,413,997	3.17
10,001-100,000 shares	1,293	33,841,914	11.41
100,001-1,000,000 shares	166	42,860,665	14.44
1,000,001 and over	21	187,203,147	63.10
TOTAL	20,755	296,692,383	100.00

C. SHAREHOLDER PROFILE

Category	No. of Shareholders	No. of Shares	%
Kenyan individual investors	19,529	84,321,734	28.42
Kenyan institutional investors	1,117	208,854,423	70.39
East African individual investors	7	210,418	0.07
East African institutional investors	1	9,000	0.00
Foreign individual investors	92	1,663,908	0.56
Foreign institutional investors	9	1,632,900	0.56
TOTAL	20,755	296,692,383	100.00

MWONGOZO NA USHIRIKIANO WA UMOJA WA KAMPUNI



Usimamizi Wazi Wa Kiushirika

Usimamizi wa kiushirika ni falsafa, nidhamu, mifumo na hatua za kuhakikisha kwamba biashara inafanywa kwa njia ya uwazi, haki na kwa mgawo sawa na ambayo inayofaa na itakayodumu kulinda maslahi ya siku zijazo za wenye hisa.

Hali ya biashara na ile ya Benki ya NIC inaelekezwa na kukaguliwa kwa pamoja na Halmashauri ya Wakurugenzi ambayo imejitolea kwenye viwango vikubwa vya usimamizi wa kiushirika. Kanuni na viwango vinavyofuatwa na baraza vimewekwa kukaribiana na miongozo ya ushirikiano wa uongozi uliowekwa na Kituo cha Usimamizi wa kiushirika, Mamlaka ya Mtaji wa Masoko iliyoorodheshwa kwa umma na Makampuni humu nchini, Benki Kuu ya Kenya kwenye kuendesha shughuli za benki na taratibu nyingine zilizo bora. Halmashauri hiyo inaangazia kuboresha uthabiti wa uongozi bora wakati ambapo inahakikisha kwamba utendaji kazi unaambatana na matakwa ya kibashara.

Halmashauri ya Wakurugenzi

Halmashauri inawakilisha Mwenyekiti, Bw. J P M Ndegwa, Wakurugenzi saba wakuu wasio na mamlaka na Wakurugenzi wawili wakuu. Historia ya Wakurugenzi hawa imeelezwa kwenye ukurasa 5 wa Ripoti hii ya mwaka. Wakurugenzi wote wakuu wasio na mamlaka wanajisimamia wenyewe na wana upeo mpana wa ujuzi na taaluma.

Wakurugenzi wote wakuu wasio na mamlaka wanastahili kustaafu kwa zamu na kutaka kuchaguliwa tena na wenye hisa angalau mara moja kwa kila baada ya miaka mitatu kulingana na kanuni za Msingi wa Kampuni. Mkurugenzi yeyote anayechaguliwa kwa mwaka anatafikana kustaafu na kutaka

achaguliwe tena kwenye Mkutano Mkuu mwingine wa kila mwaka.

Majukumu ya Halmashauri

Halmashauri inahitajika kutoa muelekezo wa Benki, viwango vya ubora na ushirikiano, na kuhakikisha kwamba wajibu wao kwa wenye hisa na washirika wengine unaeleweka na kuafikiwa.

Baadhi ya mambo ambayo yanayoshughulikiwa na Halmashauri hiyo ni:

- Kutoa uongozi thabiti kwenye Benki kulingana na mifumo-wazi na mbinu za madhubuti za maongozi zinazoweza ukaguzi na usimamamizi wa kadirio ya athari mbali mbali,
- Kuweka mikakati bora, na kuhakikisha kwamba kuna sera, mifumo na mipango mahsusi ili kuimarisha mikakati ya Benki,
- Kukagua utendaji kazi wa Benki dhidi ya mipango ya mikakati na madhumuni ya misingi inayoendelea, na vile vile kupitia kwenye mikutano ya lazima ya kila baada ya miezi mitatu,
- Kuthibitisha kuchapishwa kwa taarifa ya kifedha kila baada ya miezi mitatu,
- Kuchagua, kuteua na kuwapandisha vyeo maafisa wakuu ambao wamehitimu na wana umilisi wakusimamia hali ya Benki ipasavyo,
- Kuhakikisha kwamba kuna mipango mwafaka na mifumo ya kuonyesha, kupima na kukagua Benki na kusimamia hali za hatari zinazoikumba Benki, zikiwemo hatari zinazohusiana ridhaa,
- Kuhakiki uhalisia wa mifumo kwa kuchunguza na kuhakikisha makubaliano ya sheria na taratibu,

- Kuamua kurejelea masharti ya kamati ya halmashauri yote na kuhakiki ripoti na kumbukumbu za kamati.

Ili kuifanya halmashauri kufanya kazi vyema na kuwaruhusu wakurugenzi kutekeleza wajibu wao kwa ufasaha na kupewa fursa ya kupata habari zote muhimu. Habari halmashauri inayopata lazima ikaguliwe na wakurugenzi wana fursa ya kufikia rekodi zote na stakabadhi zile ambazo wanaweza kuzihitaji

Masuala ya mikakati hukagulia tena mara kwa mara kupitia kwenye ripoti ya Mkurugenzi Msimamizi kila baada ya miezi mitatu. Wakati ambapo mahesabu ya usimamizi ya kila mwezi yanapitishwa kwa kila mkurugenzi kati ya wiki tatu za kila mwisho wa mwezi ikiwemo uchanganuzi wa kila kitengo cha biashara cha utendaji wa kifedha, pamoja na ulinganisho dhidi ya bajeti na mwaka uliotangulia.

Kalenda ya halmashauri imepangwa ili kuhakikisha kuwa masuala yote makuu yameshughulikiwa kikamilifu kulingana na utaratibu uliopo wa mwaka mzima. Uhifadhi wa nyaraka za mikutano ya halmashauri unahusisha aina mbali mbali za makaratasi, zikiwemo ripoti za kawaida za biashara na stakabadhi za majadiliano kuhusu mambo muhimu.

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MWONGOZO NA USHIRIKIANO WA UMOJA WA KAMPUNI

Nikiongezea, wakurugenzi wote wana fursa ya kupata ushauri na huduma za katibu wa kampuni, ambaye ana jukumu la kuhakikisha kwamba hatua za halmashauri zinafuatwa.

Uwakilishi wa Mamlaka na Uthibiti wakufaa

Halmashauri hufanikisha uthibiti wakufaa dhidi ya shughuli za benki kupitia ushirikiano wa uongozi madhubuti ambao unahusisha halmashauri ya kamati nyingi. Kamati hizi hupeleka habari kwa halmashauri kulingana na wajibu wao waliokubaliana wakati ambapo utendaji wa usimamizi unakaguliwa kwa njia mwafaka na kutoa ripoti za mara kwa mara kwenye halmashauri ya kuthibitisha mikakati na bajeti. Kamati hiyo pia inafurahia kutozuiwa kwake kufikia taarifa zozote na rekodi ambazo inaweza kuhitaji.

Mwenyekiti wa Halmashauri na Mkurugenzi Msimamizi

Wajibu na majukumu ya mwenyekiti wa halmashauri na Mkurugenzi Msimamizi yanabaki kuwa tofauti na mbalimbali. Mwenyekiti anatoa uongozi wa jumla kwa halmashauri bila ya kujiwekea mipaka ya kanuni kwa majukumu ya pamoja kwa maoni ya halmashauri. Mkurugenzi msimamizi ana wajibu kwa halmashauri na anachukua jukumu la kufaa na madhubuti kuendesha Benki kwenye shughuli zake za kila siku.

Halmashauri na Tathmini ya Wakurugenzi

Sehemu ya ukubwa wa halmashauri imewekwa sawa na kikundi imara cha kujitegemea cha wakurugenzi wasio na mamlaka ili kwamba kusiwe na mtu ama kikundi kidogo cha watu watakao tawala uamuzi wa halmashauri. Taratibu zimeimarishwa ili kuwawezesha wakurugenzi kuridhika wenyewe na uadilifu wa taarifa za kifedha za benki na kwamba uthibiti wa kifedha na mifumo ya kusimamia hali ya hatari iko madhubuti. Wakurugenzi wasio na mamlaka wana ustadi, uadilifu na ujuzi unaohitajika

kwa wao kuweza kufikiria na kusaidia usimamizi wa kuendesha Benki.

Halmashauri hufanya tathmini ya utendaji wake wa kibinafsi kila mwaka, ambayo inahusisha kuhakiki ubora wa kazi yake, anuwai ya ustadi na ujuzi kwenye utendaji wa halmashauri dhidi ya taratibu na mipango ya ufuatano. Mwaka wa 2007 ilitazamiwa kwamba halmashauri ilikuwa na ubunifu mkubwa, na ilikuwa imetekeleza wajibu na majukumu yake vyema kwa vitegauchumi mbalimbali vya Benki. Uhakiki huo pia unajumuisha utendaji wa wanachama wa Halmashauri wa mwaka huo ambao wote walifanikisha vyema. Ripoti ya matokeo ya uhakiki pia hupelekwa katika Benki Kuu ya Kenya.

Malipo ya Halmashauri

Wakurugenzi wasio na mamlaka wanalipwakila mwezi, pamoja na ruzuku/posho ya kila mkutano aliohudhuria. Hawapaswi kuwa wanachama kwenye utaratibu wa kulipwa kiinua mgongo na hawashiriki katika mradi wowote wa malipo ya kampuni.

Maelezo ya malipo ya wakurugenzi watendaji wasio na mamlaka na malipo ya wakurugenzi watendaji yameelezewa kwenye ukurasa 60.

Umiliki wa hisa wa Wakurugenzi

Hakuna mkurugenzi atakayemiliki hisa kwa uwezo wake wa kibinafsi zaidi ya asilimia 1 ya rasilimali za kampuni kwa ujumla.

Mikutano ya Halmashauri

Halmashauri hukutana angalau mara moja kwa miezi mitatu. Kwa kuongezea, mikutano yenye kusudi maalum hufanywa kwa nadra ili kutoa uamuzi wa haraka kuhusiana na maswala ya kibiashara ya Benki. Angalau wiki mbili kabla ya kufikia mkutano uliopangwa, wakurugenzi huwa wajiaandaa kikamilifu kwa makaratasi na stakabadhi za halmashauri ili kuwawezesha kujiandaa kwa mkutano.

Mgongano wa kimaslahi

Wakurugenzi wa Benki wako chini ya wajibu wa mdhamini kufanya kazi kwa uaminifu na kwa maslahi bora ya taasisi. Benki ya NIC imeanzisha sera ya kuhakikisha kwamba wakurugenzi hawajiweki kwenye nafasi ambazo maslahi yao ya kibinafsi yanagongana na wajibu wao wa kufanya kazi vyema kwa maslahi ya Benki. Wakurugenzi hutoa tangazo la maslahi yao kila mwaka ambalo linahusisha:-

- Kukubali kuwa iwapo watatambua kwamba tatizo linaloikumba Benki litasababisha mgongano wa maslahi, Mkurugenzi atatakiwa kutangaza hivyo hivyo na watajitoe wenyewe kuhusika na majadiliano yeyote ya swala lililoibuka.
- Kukubali kwamba iwapo mkurugenzi atateuliwa kwa halmashauri ama atake maslahi na wapinzani wa Benki yetu, basi mkurugenzi atatakiwa kujitolea kujiuzulu.
- Kukubali kuwa haya yote pia yanahusisha watu wa karibu kwenye familia yake.

Shughuli za kibiashara kwa wakurugenzi ama washirika wao zimeelezewa kwenye ukurasa wa 73.

Kamati za Halmashauri

Kama ilivyoelezewa hapo juu, kamati nyingi zimeanzishwa kusaidia Halmashauri kutekeleza majukumu na wajibu wake. Hata hivyo halmashauri inasisitiza kwamba hilo halitavuruga uwajibikaji na uongozi wake bora wa Benki.

Kamati ya Halmashauri inahusisha usawa na ushirikiano wa Wakurugenzi watendaji wasio na mamlaka. Usimamizi wa utendaji na watoaji huduma za nje na wataalamu wanaweza kuhudhuria ikiwa wamealikwa kutokana na hali iliyopo.

MWONGOZO NA USHIRIKIANO WA UMOJA WA KAMPUNI



Halmashauri imejumuisha kamati zifuatazo: Ukaguzi wa Mahesabu na Uridhiano, Usimamizi wa Wafanyikazi na Fidia; Uteuzi; Utendaji, na Kamati ya athari na Ukopeshaaji. Kamati nyingine muhimu huundwa zinapotakikana na kamati hizi hupeleka ripoti zao kwenye Halmashauri husika ya shughuli yake. Uanachama na uhudhuriaji wa kamati hizi umeelezewa vyema kwenye ukurasa wa 15. Maelezo zaidi ya kamati hizi yametolewa hapa chini.

Kamati ya Ukaguzi wa fedha na Uridhiano

Kamati inaongozwa na Mkurugenzi mtendaji asiye na mamlaka, Bw. F N Mwanzia, na ana wakurugenzi watendaji wawili wengine wasio na mamlaka. Kwa kuongezea Mkurugenzi Msimamizi na mkaguzi wa ndani wa mahesabu wanahudhuria wakialikwa. Wakuu wa Idara zingine wanaweza kualikwa wakihitajika. Wakaguzi wa nje wa mahesabu hualikwa mara kwa mara lakini angalau mara moja kwa mwaka.

Kamati hukutana kila baada ya miezi mitatu kutathmini hatua za ripoti ya kifedha, kuhakikisha kwamba uthibiti wa ndani, fedha na uendeshaji unashughulikiwa na kukaguliwa ipasavyo na Usimamizi. Kamati ambayo mkaguzi wa ndani wa

mahesabu anapowasilisha ripoti yake, inatathmini ripoti ya ndani ya mahesabu na pia kuhakikisha kwamba hatua muhimu zimechukuliwa na mapendekezo kutekelezwa.

Usimamizi wa Wafanyikazi na Kamati ya Kutoa Fidia

Kamati hii ya Halmashauri inajumuisha Wakurugenzi watendaji watatu wasio na mamlaka na inaongozwa na Bi. Isabella Ochola - Wilson. Mkurugenzi Msimamizi, Mkurugenzi Mtendaji, Mkurugenzi wa Fedha na Mkurugenzi Msimamizi wa wafanyikazi wanahudhuria kwa mualiko.

Jukumu kubwa la kamati ni kuhakikisha kwamba sera za usimamizi wa wafanyikazi wa Benki zinaambatana na jinsi mambo yalivyo kwenye sekta hiyo. Pia inapangilia, kwa niaba ya Halmashauri, kiwango maalumu cha malipo ya wasimamizi wakuu. Inaweza kuomba ushauri kutoka kwa wataalamu wa nje ikiwa unahitajika ili kutekeleza majukumu yake.

Ni wajibu na sera ya Benki kutoa viwango vizuri vya malipo ya wafanyikazi kwa kutoa mchango wao katika biashara, huku wakizingatia kutaka kuwavutia, kuendelea kufanya nao kazi na kuwapa motisha wafanyikazi katika tabaka la juu.

Kamati pia hutathmini maendeleo na mipango ya ufanisi kwa wasimamizi watendaji wakuu wa Benki.

Kamati ya Uteuzi

Kamati hii hukutana kwa nadra mno na inajumuisha; Wakurugenzi watendaji watatu wasio na mamlaka, na inaongozwa na G A Maina.

Jukumu kubwa la kamati hii ni kutoa mapendekezo kwa halmashauri ili kujaza nafasi za kazi kwenye nyadhifa za utendaji na wakurugenzi watendaji wasio na mamlaka. Kwenye kutoa mapendekezo, kamati huangalia kwa makini mchanganyiko wa ustadi, ujuzi

na taaluma ya mtu na jinsi ambavyo ataweza kuleta manufaa au faida kwenye kampuni. Na hata hivyo, halmashauri huthibitisha kuteuliwa na kuondolewa kwa Mkurugenzi.

Kamati Kuu ya Utendaji

Kamati hii inajumuisha wakurugenzi watendaji watatu wasio na mamlaka na inaongozwa na A S M Ndegwa. Mkurugenzi Msimamizi na Mkurugenzi wa Fedha huhudhuria wakipewa mualiko.

Kamati hii hukutana mara kwa mara kutathmini na kupendekeza kwa Halmashauri ili kuthibiti mipango ya mikakati ya kila wakati na sera muhimu za muongozo zinazoundwa na kitengo cha usimamizi kila baada ya muda. Kamati huangazia hatari mbali mbali zinazokumba Benki na kisha kuhakikisha kwamba kuna usimamizi muafaka na wakutosha unaoweza kumudu, kukagua, kuthibiti na kuepusha athari kama hizo.

Kamati ya Mikopo na Athari

Hii kamati inahusisha wakurugenzi watendaji wanne wasio na mamlaka, wakiongozwa na Bw. F M Mbiru anayeangazia masuala yote ya sera ya ukopeshaaji wa Benki. Mkurugenzi Msimamizi, Mkurugenzi Mtendaji, Mkurugenzi wa athari na Mkurugenzi wa Fedha wanahudhuria wakipewa mualiko. Wasimamizi wengine wakuu wanaalikwa kuhudhuria wakiwa wanahitajika.

Mfumo wa usimamizi wa athari umeanzishwa ili kupima, kuchunguza, kuthibiti na kuepusha athari mbali mbali kwa Benki. Mifumo hii imewekwa kwenye taarifa za usimamizi wa jumla wa benki na kuelezewa kwenye msingi wa ripoti ya usimamizi.

Baadhi ya kazi mojawapo ya Kamati hii ni kusaidia Halmashauri kutekeleza majukumu yake ya usimamizi kama ilivyoelezewa kwenye sheria na taratibu zinazotumika na vile vile sera za ndani.



MWONGOZO NA USHIRIKIANO WA UMOJA WA KAMPUNI

Kamati hii hukutana angalau mara moja kwa mwezi kuangalia maombi ya mkopo na kuongezea muda maombi mengine katika viwango vilivyowekwa na Halmashauri. Pia imepewa jukumu la kuhakikisha kwamba:-

- Uadilifu na ubora wa usimamizi katika kulingania matukio ya athari kwa Benki,
- Kutathmini baadhi ya viwango na kutoa ripoti za mara kwa mara za kiathari na kutoa mapendekezo kwa Halmashauri.
- Kuna hatua za kufaa zaidi kuonyesha kusimamia matatizo ya mikopo ya kawaida, kupunguza hasara ya mikopo na kuhakikisha kwamba mikopo inalipwa.

Sera za usimamizi wa athari ambazo hufanyiwa tathmini kila baada ya miezi mitatu na kamati zimeelezwa zaidi kwenye ukurasa wa 44 to 55. Na zinaafikiana na Viwango vya Kimataifa vya Ripoti za Kifedha..

Kamati za Usimamizi

Jambo lenye umuhimu mkubwa kwenye ufanisi wa Benki unaoendelea ni ushirikiano bora wa usimamizi. Wanachama wa usimamizi hujumuika pamoja kubadilishana tajiriba na ujuzi wa shughuli za Benki za humu nchini na za Kimataifa. Ili kuhakikisha ubora huo, Mkurugenzi Msimamizi ameanzisha kamati za kusaidia usimamizi wa Benki. Kamati hizi zinaongozwa na Mkurugenzi Msimamizi na kuwajumuisha Wakuu wa Idara, pamoja na Wasimamizi wengine Wakuu ambao wanaweza kuhitajika mara kwa mara. Kamati hizi ni pamoja na:-

Kamati ya Usimamizi Utendaji (EXCOM):- Kamati hii hukutana kila baada ya wiki mbili kujadili mikakati na mapendekezo, masuala ya sera na utendaji wakifedha. Pia inatakiwa kuwajibika katika kuhakikisha kwamba mambo yanatekelezwa kulingana na kanuni

na miongozo iliyowekwa ya sera na hatua za kampuni. Kamati hii inahudumu kama daraja kati ya Halmashauri na Usimamizi.

Kamati ya Usimamizi (MANCOM):- Kamati hii hukutana kila mwezi kutathmini maswala ya kuendesha benki, ikizingatia kukagua na kuchunguza hali ya uendeshaji hatari unavyofanywa.

Kamati ya Usimamizi wa mali na Mikopo (ALCO):- Kamati hii hukutana kila mwezi na mara kwa mara inapohitajika. Wajibu muhimu wa kamati hii ni Kukagua na kusimamia mali na mikopo ya Benki. Hii ni pamoja na usimamizi wa kulingania athari, viwango vya riba na hatari za viwango vya ubadilishanaji na kuhakikisha kutekeleza kwa matakwa ya uongozi wa nchi, viwango vya pesa taslimu na ubadilishanaji wa pesa za kigeni na sera za uwekezaji.

Kamati ya Usimamizi wa athari: Kamati hii hukutana mara kwa mara kuidhinisha maombi mapya ya mkopo na kuongezea muda maombi mengine kulingana na viwango vilivyowekwa na Halmashauri. Kamati hii pia hutoa mapendekezo mara kwa mara kwa Halmashauri ya kamati ya Mkopo na hatari kukagua tena viwango vyake.

Kamati kuu ya mambo ya Athari: Kamati hii hukutana kila mwezi kutathmini utendaji kazi wa vitabu vya mikopo ya Benki na kutambua viwango vinavyostahili kutengwa kulingana na sera, mwongozo nataratibuzilizowekwa na Benki.

Uhusiano na Wenye hisa

Benki huchapisha hesabu zilizokaguliwa za kila mwaka na kuzituma kwa kila mwenye hisa.

Wenye hisa wote wa n a t a k i k a n a

kuhudhuria Mkutano Mkuu wa Kila Mwaka na kupokea tangazo la mkutano, ambalo linatumwa siku 21 kabla ya Mkutano Mkuu wa mwaka Wenye hisa pia wana fursa ya kumfikia Katibu wa kampuni ama wasajili wa kampuni, Hifadhi na huduma za msajili, na majibu ya barua zinazoandikwa na kampuni kwa wenye hisa kuhusu masuala mbali mbali.

Matokeo ya Benki huchapishwa kwenye gazeti la kila siku kwa kila baada ya miezi mitatu kulingana na mahitaji ya Benki Kuu Ya Kenya. Matokeo ya hivi karibuni pia yanapatikana kwenye wavuti wa www.nic-bank.com.

Wenye hisa wote wana fursa ya kuuliza maswali ya aina yeyote kuhusiana na Benki kwenye Mkutano Mkuu wa Kila Mwaka na kukutana na wakurugenzi baada ya mkutano.

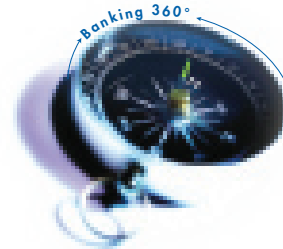
Uthibiti wa Ndani

Wakurugenzi wanakubali majukumu yao kama yalivyoelezwa kwenye ukurasa wa 27 wa mfumo wa Benki kwa uthibiti wa fedha za ndani, ikiwa ni pamoja na kuchukua hatua kabambe kuhakikisha kwamba mifumo inadumishwa. Mifumo ya uthibiti wa ndani imeundwa kukabiliana na mahitaji maalumu ya Benki, na hatari ambazo zinaweza kuikumba kwa hatua zilizokusudiwa kutoa uthibiti wakufaa wakifedha. Hata hivyo, mfumo kama huo unaweza tu kueleweka, lakini sio hauna hakikisho dhidi ya kutoa maelezo ya kupotosha.



SOCIAL AND ENVIRONMENTAL RESPONSIBILITIES STATEMENT

Majukumu ya Kijamii na Mazingira



The Bank recognizes that it has a corporate social and environmental responsibility and has a documented policy approved by the Board in support of this.

The Bank is committed to partnering with groups with similar objectives towards social development and empowerment of the broader community through various corporate social initiatives. Employee welfare and care for the environment are also major areas of interest.

Some of the areas that benefited from our contribution and participation are highlighted on page 22.

Employee Welfare

• Ethical Standards

The Bank conducts business in compliance with high ethical standards of business practice. The Bank has a Code of Conduct which outlines the principles and policies that govern the activities of the company, and to which the employees must adhere. All employees and directors have committed to follow NIC Bank's Code of Conduct.

New members of staff, upon employment, must sign the Code of Conduct acknowledging that they have read and are committed to abide by the Code of Conduct.

• Communication

The Bank encourages dialogue and participation from all employees through internal e-mail, team-building initiatives and staff magazine. Further, the Bank holds an annual staff conference where all staff members meet for discussions on the Bank's progress and strategic direction.

In 2007 a staff survey was conducted to generate specific feedback on the important matter of employee satisfaction, and the findings have given rise to a number of initiatives to identify further improvement.

• Staff Training & Development

NIC Bank attaches great importance to staff training and development as a means of ensuring that the organization is fully and appropriately staffed with employees who have requisite competencies to perform their jobs and that all staff feel valued and supported.

The training program is designed to attain the highest standards in the banking industry and is continuously benchmarked with other leading players. The Bank's policy is to provide training that strikes the appropriate balance between short and long term resource requirements with regard to the size and complexity of its operations and the need to offer the highest quality of service.

The training process begins with an induction phase which also comprises mandatory courses on the Bank's products and services and strategic thrust. Thereafter, on-the-job-training is the foundation upon which all other types of training must depend. This process is fully supplemented by a mentoring program and we acknowledge the role our experienced members of staff play in training their colleagues. In addition, tailor made courses and workshops are arranged to meet specific skill and knowledge requirements.

To give staff international exposure, the Bank has identified overseas strategic partners with which staff are able to train and gain experience.

With the current employee skill-base, the Bank is able to effectively compete both locally and internationally.

Benki inatambua kwamba inajukumu kubwa la ushirikiano wa mazingira kwa jamii na ina stakabadhi za sera zilizothibitishwa na Halmashauri kuunga mkono swala hilo.

Benki imejitolea kuwa na ushirika na kampuni zenye malengo sawa dhidi ya maendeleo ya kijamii na kuboresha jamii kupitia kuanzisha mifumo ya ushirikiano mbalimbali. Hali ya wafanyikazi na kulinda mazingira ni baadhi ya mambo muhimu yanafaa kuangaziwa.

Baadhi ya maeneo yaliyofaidi kutokana na mchango na kushiriki kwetu yameelezewa kwenye ukurasa wa 22.

Shughuli za Wafanyikazi

• Viwango vya Kimaadili

Benki huendesha biashara kulingana na viwango vya tamaduni za kibiashara. Benki ina masharti yake ambayo yanaelezea kanuni na sera zinazoongoza shughuli za kampuni, na ambazo wafanyikazi lazima wazifuate. Wafanyikazi na Wakurugenzi wamejitolea kufuata masharti hayo ya Benki ya NIC.

Wafanyikazi wapya wanaoandikwa kazi, lazima watie sahihi kukubali masharti hayo kuwa wameyasoma na kujitolea kuyatekeleza.

• Mawasiliano

Benki na wafanyikazi wake wote hupenda kuwasiliana kupitia barua-pepe za wenyewe kwa wenyewe, kuanzisha vikundi na jarida la wafanyikazi. Zaidi ya hayo, benki hufanya mkutano kila mwaka wa wafanyikazi kukutana na kujadili maendeleo ya Benki na mtazamo wa mikakati.

Mwaka wa 2007 tathmini kwa wafanyikazi ilifanywa ili kupata majibu ya umuhimu wa kuwaridhisha wafanyikazi, na matokeo yameonyesha kuwepo kwa baadhi ya mambo ili kuimarisha hali hiyo.

• Mafunzo kwa Wafanyikazi na Maendeleo

Benki ya NIC inayapa kipaumbele mafunzo ya wafanyikazi na maendeleo kama njia ya kuhakikisha kwamba shirika liko sawa na lina wafanyikazi wakutosha ambao wana uwezo wa kutekeleza kazi zao na kadhalika wajihisi kwamba wana thaminiwa na kusaidiwa.

Mpango huo wa mafunzo umeundwa ili kufanikisha viwango vya juu kwenye kuendesha shughuli za Benki na umeendelea kuungwa mkono na Benki nyingine bora. Sera za Benki ni kutoa mafunzo ambayo yatalingania usawa kati ya mahitaji ya muda mfupi na mrefu kulingana ukubwa na ugumu wa shughuli zake na kutaka kutoa huduma bora zaidi.

Hatua za mafunzo zinaanza na kitengo cha ufahamisho ambacho pia kinahusisha kozi za lazima kuhusu bidhaa za Benki, huduma na mikakati ya kusonga mbele. Na baada ya hapo kwenye mafunzo ya kazi ndio msingi ambao mafunzo ya aina zote yanategemea. Hatua hizi zimeongezewa zaidi kwa mipango ya ushauri na tumeridhika na wajibu wanaofanya wenzetu walio na ujuzi kuwafundisha wenzao. Kwa kuongezea kozi zisizo rasmi/vikao vya mafunzo/semina huandaliwa ili kupata ujuzi maalumu na taaluma inayohitajika.

Kuwaweka wafanyikazi wazi kimataifa Benki imepata washirika kutoka ng'ambo ambao wafanyikazi watapata fursa ya kufanya mafunzo nao na kupata ujuzi wakutosha.

Msingi wa ujuzi wa wafanyikazi walio nao kwa sasa, Benki ina uwezo wa kutosha kushindana humu nchini na Kimataifa.



SOCIAL AND ENVIRONMENTAL RESPONSIBILITIES STATEMENT

Majukumu ya Kijamii na Mazingira

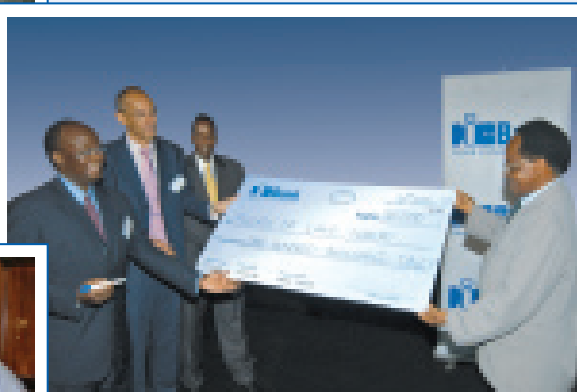
Moses Karanu, Head of Asset Finance NIC Bank makes a book donation to Neema Children's Centre during the Christmas festivity.



J P M Ndegwa, Chairman NIC Bank and J W Macharia, Managing Director NIC Bank, present a cheque to an official of Friends of Lake Nakuru. Looking on is Finance Minister Amos Kimunya.



J W Macharia, Managing Director, NIC Bank presents a cheque to Jane Wathome, Executive Director, Beacon of Hope.



J W Macharia, Managing Director, NIC Bank presents a cheque to William (Bill) Lay, Chairman, Junior Achievement Kenya.

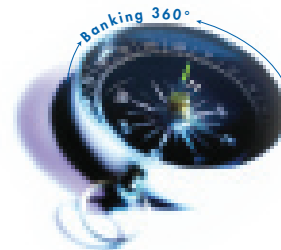


NIC Bank staff members donate clothes and food stuff to the Kenya Red Cross Society



NOTICE OF THE ANNUAL GENERAL MEETING

TANGAZO LA MKUTANO MKUU WA MWAKA



Notice is hereby given that the forty-eighth Annual General Meeting of the shareholders of NIC Bank Limited will be held at the Safari Park Hotel, Nairobi on Wednesday 28 May 2008, at 11.00 am for the following purposes:-

- To receive, consider and if thought fit, adopt the Financial Statements for the year ended 31 December 2007 and the Directors' and Auditors' Reports thereon.
- To approve the payment of a final dividend of 16% (Shs 0.80 per share) on the paid up capital of Sh 1,483,461,920.
- To approve the payment of fees to the Directors for the year ended 31 December 2007.
- To note that Deloitte & Touche will continue in office as the Auditors by virtue of section 159(2) of the Companies Act (Cap.486) subject to Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap.488) and to authorize the Directors to fix their remuneration.
- To elect Directors:
In accordance with Articles 108, 109 and 110 of the Company's Articles of Association, the following directors retire by rotation and being eligible, offer themselves for re-election:
i.) A S M Ndegwa
ii.) F N Mwanzia
- Special business:
F M Mbiru, who has attained the age of 70, retires in accordance with Section 186 (2) of the companies Act (Cap 486). Special Notice has been received by the company pursuant to Section 142 of the Companies Act, that the following resolution be proposed in accordance with Section 186 (5) of the said Act, and, if thought fit, passed by the members:

"That F M Mbiru, a Director who has attained the age of 70 years, be and is hereby re-elected as a director of the Company".
- To transact any other business of the Annual General Meeting of which due notice has been received.

Tangazo hili linatolewa kuwafahamisha kwamba Mkutano Mkuu wa arobaini na nane wa wenye hisa wa Benki ya NIC unaofanywa kila mwaka, utafanyika katika Hoteli ya Safari Park, jijini Nairobi siku ya Jumatano tarehe 28, Mei 2008, saa tano kamili asubuhi ili kushughulikia masuala yafuatayo:-

- Kupokea, kuzingatia na ikiwa pana usawa, kuikubali taarifa ya fedha pamoja na ripoti ya Wakurugenzi na Wakaguzi wa mahesabu ya mwaka uliomalizikia 31, Desemba 2007.
- Kupitisha malipo ya mgawo wa mwisho wa asilimia 16 (wa shilingi 0.80 kwa kila hisa) kwenye mtaji uliolipwa wa shilingi bilioni 1,483,461,920.
- Kupitisha ada ya malipo ya wakurugenzi ya mwaka uliomalizikia 31, Desemba 2007.
- Kuelekeza kwamba kampuni ya Deloitte & Touche iendelea kuwa wakaguzi wa mahesabu kulingana na kifungu 159(2) cha kanuni za Kampuni (nambari 486) kulingana na thibitisho la Benki Kuu ya Kenya sambamba na kifungu 24(1) cha kanuni za uwekaji pesa [nambari 488] na kuwaruhusu Wakurugenzi kutoa maelezo ya ujira wao.
- Kuwateua Wakurugenzi:
Kulingana na vifungu nambari 108, 109 na 110 vya kanuni za Msingi wa Kampuni, wakurugenzi wafuatao watastaafu kwa zamu na kujitolea kuchaguliwa tena:
i.) A S M Ndegwa
ii.) F N Mwanzia
- Biashara maalum:
F M Mbiru, ambaye amefikia umri wa miaka 70 anastaafu kulingana na kifungu 186 (2) cha kanuni za Kampuni (kitengo cha 486). Ilani imepokelewa na kampuni kulingana na kifungu 142 cha kanuni za Kampuni, kuwa mambo yafuatayo yapendekezwe kulingana na kifungu 186[5] cha kanuni zilizotajwa, na zikiwa sawa zipitishwe na wanachama:

"Kuwa F M Mbiru ambaye ni Mkurugenzi, amefikia umri wa miaka 70, awe na sasa ateuliwe kama Mkurugenzi wa Kampuni.
- Kushughulikia masuala yeyote yale ya kibiashara ya Mkutano Mkuu wa Kila Mwaka ambao tayari tangazo lishapokelewa.

BY ORDER OF THE BOARD

L Murage
Company Secretary
Nairobi
14 April 2008

KWA AMRI YA HALMASHAURI

L Murage
Katibu wa Kampuni
Nairobi
14 Aprili 2008

Note: A member entitled to attend and vote is entitled to appoint a proxy to attend and vote on his/her behalf. Such proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report must be deposited at the Registered Office of the Company not less than 24 hours before the appointed time of the Meeting.

Fahamu: Mwanachama aliyeruhusiwa kuhudhuria na kupiga kura anaruhusiwa kuteua mtu kwa niaba yake ili kuhudhuria na kupiga kura badala yake. Mtu huyo m'badala si lazima awe mwanachama wa kampuni. Ili hatua hiyo kuhlalishwa, mfumo huo wa mshiriki m'badala ambao umeambatanishwa kwenye ripoti hii ni lazima upelekwe katika Afisi ya Usajili wa Makampuni kwa kipindi kisichopungua saa 24 kufikia wakati wa mkutano huo.



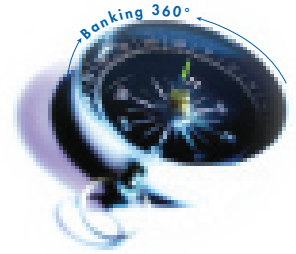
FIVE YEAR FINANCIAL REVIEW

HISTORIA YA DHIMA

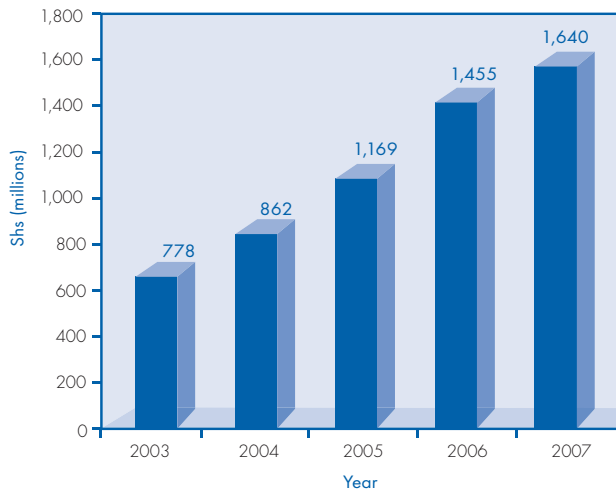
	2003 Shs`000	2004 Shs`000	2005 Shs`000	2006 Shs`000	2007 Shs`000
BALANCE SHEET					
Assets					
Government securities	1,972,145	1,751,907	2,472,787	2,148,688	2,411,997
Loans and advances to customers (net)	6,896,158	11,541,195	14,259,286	16,570,116	22,209,186
Property and equipment	403,801	495,817	528,731	503,173	506,813
Other	1,764,152	2,854,574	3,439,064	6,840,436	6,153,022
Total Assets	11,036,256	16,643,493	20,699,868	26,062,413	31,281,018
Liabilities					
Customer deposits	7,951,236	12,504,011	16,575,398	21,978,078	24,805,595
Line of credit	67,165	601,644	354,404	278,195	650,100
Other	441,695	893,871	977,550	769,898	1,087,590
Total Liabilities	8,460,096	13,999,526	17,907,352	23,026,171	26,543,285
Equity					
	2,576,160	2,643,967	2,792,516	3,036,242	4,737,733
Total Liabilities and Equity	11,036,256	16,643,493	20,699,868	26,062,413	31,281,018
INCOME STATEMENT					
Interest income	980,038	1,068,995	1,940,340	2,365,847	2,799,924
Interest expense	202,452	206,980	770,868	911,250	1,159,829
Net interest income	777,586	862,015	1,169,472	1,454,597	1,640,095
Total non-interest income	166,923	292,761	372,244	515,441	736,294
Total Operating income	944,509	1,154,776	1,541,716	1,970,038	2,376,389
Operating expenses	527,976	762,358	930,323	1,159,577	1,226,415
Net impairment loss on loans & advances	57,210	19,862	208,383	133,389	100,067
Total operating expenses	585,186	782,220	1,138,706	1,292,966	1,326,482
Profit before Taxation	359,323	372,556	403,010	677,072	1,049,907
Income Tax expense	116,709	111,200	127,362	219,068	304,220
Profit for the year	242,614	261,356	275,648	458,004	745,687
Earnings Per Share (Shs)	0.84	0.90	0.95	1.58	2.57
Dividend Per Share (Shs)	2.25	2.40	2.50	2.70	0.80
OTHER DISCLOSURES					
1) Non-performing loans and advances					
a) Non-performing loans and advances	759,316	589,583	705,865	1,270,942	967,723
b) Specific provision	625,805	375,947	529,947	646,706	479,883
c) Net Non-performing loans and advances (a-b)	133,511	213,636	175,918	624,236	487,840
2) Number of Employees					
	149	203	252	262	290
PERFORMANCE INDICATORS					
Return on capital employed (ROCE)	13.95%	14.09%	14.43%	22.30%	22.16%
Non-funded income to total income	17.67%	25.35%	24.14%	26.16%	30.98%
Non-performing loans to total loans	1.94%	1.85%	1.23%	3.77%	2.20%
Return on total assets	3.26%	2.24%	1.95%	2.60%	3.36%

FIVE YEAR FINANCIAL REVIEW

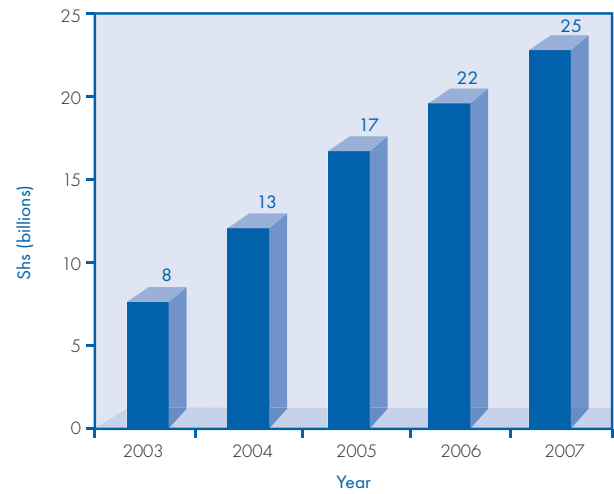
HISTORIA YA DHIMA



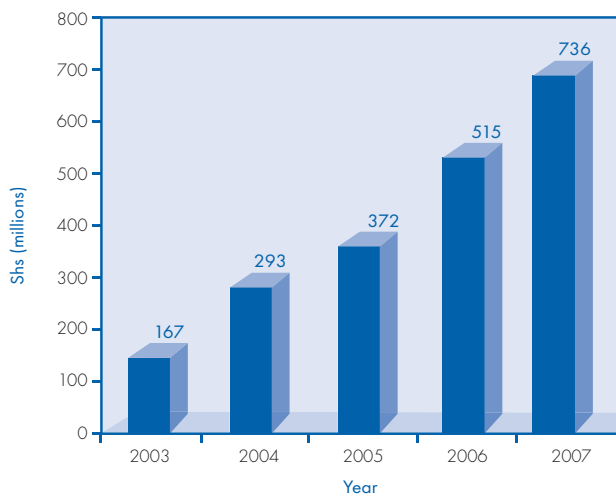
NET INTEREST INCOME



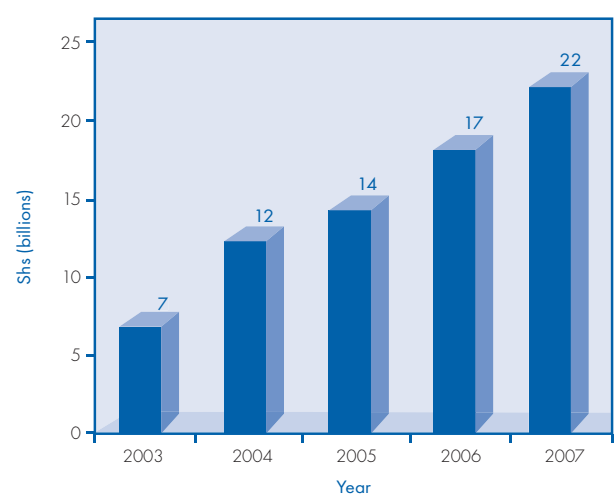
CUSTOMER DEPOSITS



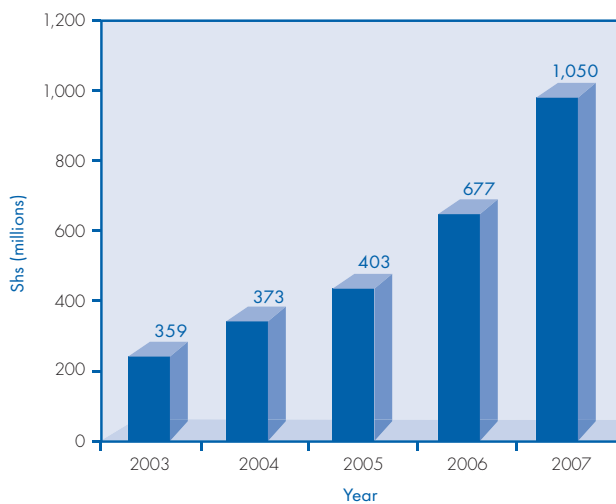
NON INTEREST INCOME



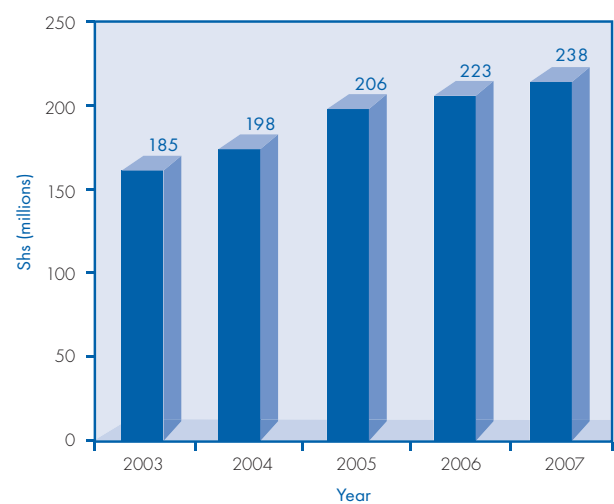
CUSTOMER LOANS AND ADVANCES



PROFIT BEFORE TAX



DIVIDEND PAYOUT





REPORT OF THE DIRECTORS RIPOTI YA WAKURUGENZI

The directors have pleasure in submitting their report together with the audited financial statements for the year ended 31 December 2007 in accordance with Section 22 of the Banking Act and Section 157 of the Kenyan Companies Act which discloses the state of affairs of the group and bank.

1. ACTIVITIES

The principal activities of the group, which is licensed under the Banking Act, are the provision of banking, financial and related services.

2. RESULTS

The profit for the year of Shs 745,687,000 (2006: Shs 458,004,000) has been added to retained earnings.

3. DIVIDENDS

The Board has resolved to recommend to the shareholders at the forthcoming Annual General Meeting, scheduled for 28 May 2008, the payment of a final dividend for the year of Shs 0.80 for every ordinary share of Shs 5.

The dividends will be payable to the shareholders registered on the Company's Register at the close of business on 3 April 2008 and will be paid on or after 28 May 2008. The Register will remain closed on 4 April 2008 for the preparation of dividend warrants.

4. CAPITAL

During the year, the group undertook a successful Rights Issue of 1 share for every 5 held resulting in increase of capital by Shs 1,112,392,000. The shareholders approved a bonus issue where shareholders received 2 ordinary shares for every 1 share held.

5. DIRECTORS

The directors who held office during the year and to date are shown on page 2.

In accordance with articles 98, 99 and 100 of the Articles of Association, F M Mbiru, A S M Ndegwa and F N Mwanzia retire by rotation and, being eligible, offer themselves for re-election.

6. AUDITORS

Deloitte & Touche, having expressed their willingness, will continue in office in accordance with section 159 (2) of the Companies Act and subject to section 24(1) of the Banking Act.

7. APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved by the board of directors on 27 February 2008.

BY ORDER OF THE BOARD

L MURAGE

Company Secretary

Nairobi
27 February 2008

Wakurugenzi wana furaha isiyo kifani kuwasilisha ripoti yao pamoja na taarifa ya kifedha iliyokaguliwa ya mwaka uliomalizikia tarehe 31, Desemba 2007 kulingana na Kifungu cha 22 kwenye kanuni za kuweka pesa na kifungu cha 157 cha Kanuni za Kampuni nchini Kenya, ambazo zinabainisha hali ya Kampuni na Benki.

1. SHUGHULI

Shughuli muhimu za kampuni, ambazo zilikatiwa leseni chini ya sheria ya uwekaji pesa benki, ambazo zimetengwa kwa ajili ya kodi ya uwekaji pesa benki, fedha na huduma nyingine husika.

2. MATOKEO

Faida ya mwaka ya shilingi 745,687,000 (mwaka wa 2006: Shilingi 458,004,000) ziliongezewa kwenye akiba ya mapato.

3. MGAWO

Halmashauri imepitisha ili kupendekeza kwa wenye hisa Mkutano Mkuu wa mwaka, uliopangwa kuwa tarehe 28 Mei 2008, malipo ya mgawo wa mwisho wa mwaka wa shilingi 0.80 kwa kila hisa ya kawaida ya shilingi 5.

Mgawo utalipwa kwa wenye hisa waliojisajili kwenye rejesta ya Kampuni kufikia kufungwa kwa biashara tarehe 3 Aprili 2008 na utalipwa wakati huo ama baada ya tarehe 28 Mei 2008. Kisha rejesta itafungwa tarehe 4 Aprili 2008 ili kutayarisha kutoa idhini ya mgawo huo.

4. MTAJI

Mwaka huo, kampuni ilipata ufanisi wa gawio la haki la hisa 1 (moja) kwa kila hisa 5 (tano) ulizonazo kusababisha ongezeko la mtaji kwa shilingi 1,112,392,000. Wenye hisa walithibitisha gawio la ziada ambapo wenye hisa hao walipokea hisa 2 (mbili) za kawaida kwa kila hisa 1 (moja) ulionayo.

5. WAKURUGENZI

Wakurugenzi waliokuwepo uongozini mwaka jana hadi leo wameorodheshwa katika ukurasa wa 2.

Kulingana na vifungu 98, 99 na 100 vya Kanuni za Msingi za Kampuni, Bw. F M Mbiru, A S M Ndegwa na F N Mwanzia watastaafu kwa zamu na wanaweza kujitolea wenyewe kuteuliwa tena.

6. WAKAGUZI WA MAHESABU

Baada ya Deloitte & Touche, kuonyesha kujitolea kwao, wataendelea kuwa wakaguzi wa mahesabu kulingana na Kifungu 159(2) cha Kanuni za Kampuni na Kutokana na Kifungu cha 24 (1) kitengo cha uwekaji pesa kwenye Benki.

7. KUTHIBITISHWA KWA TAARIFA YA MAHESABU

Taarifa ya Mahesabu ilithibitishwa na Kamati ya Wakurugenzi tarehe 27 Februari 2008.

KWA AMRI YA HALMASHAURI

L MURAGE

Katibu wa Kampuni

Nairobi
27 Februari 2008

STATEMENT OF DIRECTORS' RESPONSIBILITIES

TAARIFA YA MAJUKUMU YA MKURUGENZI



The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the bank as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure that the group and the bank keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and the bank. They are also responsible for safeguarding the assets of the group.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the bank and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the bank and its subsidiaries will not remain a going concern for at least the next twelve months from the date of this statement.

J P M Ndegwa
Chairman

J W Macharia
Managing Director

27 February 2008

Kulingana na Kanuni za Kampuni, wakurugenzi wanatakiwa kutayarisha taarifa ya mahesabu kwa kila mwaka wa kifedha ambayo itaeleza haki na usawa wa hali ya Kampuni na Benki kufikia kila mwisho wa mwaka wa kifedha na matokeo ya uendeshaji wa kampuni ya Mwaka. Pia mkurugenzi anatakiwa kuhakikisha kwamba Kampuni na Benki zinaweka vyema rekodi za mahesabu ambazo zinafafanua uhakika wa kueleweka kila wakati. Pia wanahitajika kulinda mali za Kampuni.

Wakurugenzi wanajukumu la kutayarisha na kuwasilisha sawa taarifa ya mahesabu kulingana na Viwango vya Kuripoti Mahesabu vya Kimataifa. Jukumu hili linahusisha:

Kuunda, Kurekebisha na kudumisha udhibiti wa ndani kuambatana na utayarishaji na uwasilishaji wa taarifa za mahesabu ambazo hazina maelezo ya kupotosha, ima kwa wizi ama makosa, kuchagua na kutumia sera kabambe, na kufanya makadirio mazuri kutokana na hali halisi iliyoko.

Wakurugenzi wakubali kuchukua jukumu la taarifa ya fedha ya kila mwaka, ambayo imetayarishwa kwa kutumia sera maalum za hesabu zikiwa zimeambatanishwa na uamuzi na makadirio ya kuaminika, kulingana na Viwango vya Kuripoti Mahesabu vya Kimataifa na kwa njia mwafaka inayohitajika katika Kanuni za Kampuni. Wakurugenzi wanatakiwa wawe na mtazamo wa kwamba taarifa ya mahesabu inaeleza haki na usawa wa hali ya mahesabu ya Kampuni na Benki na matokeo ya uendeshaji shughuli. Vile vile, wakurugenzi wakubali kukagua rekodi za mahesabu ambayo itategemewa utayarishaji taarifa ya mahesabu, na hali kadhalika mfumo mahususi wa ndani wa kudhibiti fedha.

Hakuna taarifa yoyote iliyotolewa kwa Wakurugenzi kuonyesha kwamba Benki na Kampuni tanzu hazitaendelea kufanya kazi zaidi ya miezi kumi na miwili ijayo kuanzia tarehe ya taarifa hii.

J P M Ndegwa
Mwenyekiti

J W Macharia
Mkurugenzi Mkuu

27 Februari 2008

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF NIC BANK LIMITED

We have audited the financial statements of NIC Bank Limited on pages 30 to 78 which comprise the consolidated and bank balance sheets as at 31 December 2007, and the consolidated income statement, consolidated and bank statements of changes in equity and consolidated cash flow statement for the year then ended, together with the summary of significant accounting policies and other explanatory notes, and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

The group's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the provisions of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances. Our responsibility is to express an opinion on these financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment and include an assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered internal controls relevant to the group's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

- (a) proper books of account have been kept by the bank and the bank's balance sheet is in agreement therewith;
- (b) the financial statements give a true and fair view of the state of affairs of the bank and the group at 31 December 2007 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.

Deloitte & Touche
27 February 2008

TAARIFA YA WAKAGUZI KWA NIC BANK LIMITED

Tumekagua taarifa ya kifedha ya Benki ya NIC kwenye ukurasa wa 30 hadi 78 ambayo imeambatanisha akaunti ya kampuni na maelezo ya mahesabu katika biashara kufikia tarehe 31 Desemba 2007, na taarifa ya kipato, akaunti ya kampuni na taarifa ya mabadiliko ya benki kwenye rasilimali na taarifa ya akaunti ya mapato halisi ya kampuni ya mwaka uliomalizika, pamoja na ufupisho wa sera muhimu za hesabu na maelezo mengine ya tini, na kupata taarifa na maelezo yote ambayo tuna imani nayo kuwa ni bora kutokana na elimu yetu, na kuwa ni muhimu kwa ukaguzi wetu.

Majukumu muhimu ya wakurugenzi na wakaguzi wa mahesabu

Wakurugenzi wa kampuni wanajukumu la kutayarisha na kuwasilisha sawa taarifa ya mahesabu kulingana na Viwango vya Kuripoti Mahesabu vya Kimataifa. Jukumu hili linahusisha: Kuunda, Kurekebisha na kudumisha udhibiti wa ndani kuambatanisha na utayarishaji na uwasilishaji wa taarifa za mahesabu ambazo hazina maelezo ya kupotosha, ima kwa wizi ama makosa, kuchagua na kutumia sera kabambe, na kufanya makadirio mazuri kutokana na hali halisi iliyoko. Jukumu letu ni kutoa uamuzi wa taarifa hizi za fedha kutokana na ukaguzi wetu.

Kigezo cha mtazamo halisi

Tuliendesha ukaguzi wetu kulingana na Viwango vya Kimataifa vya Ukaguzi. Viwango hivyo vinahitaji tufuate vigezo vinavyotakiwa na kupangilia na kutekeleza kazi ya ukaguzi ili kutoa maelezo ya uhakika iwapo taarifa ya kifedha haina maelezo ya kupotosha.

Ukaguzi unahusisha kutekeleza hatua muhimu ili kutoa ushahidi wa kutosha wa viwango na maelezo ya taarifa ya kifedha. Hatua zilizochaguliwa zinategemea uamuzi wetu na zinahusisha kufanya tathmini ya maelezo ya hatari ambayo yanaeleza visivyo kwenye taarifa ya kifedha, ima yawe ya udanganyifu ama kosa. Kwenye kufanya tathmini hiyo ya hatari zilizoko, tulizingatia udhibiti wa ndani sawia na matayarisho ya kampuni na uwasilishaji wa haki wa taarifa za kifedha ili kuunda hatua mahususi za ukaguzi ambazo zinaambatanisha na hali halisi iliyopo, lakini sio kwa madhumuni ya kutoa maoni ya kufaa zaidi kwenye udhibiti wa ndani wa kampuni. Ukaguzi pia unahusisha kutathmini kwa sera za hesabu zinazofaa kutumiwa na makadirio ya kuridhisha ya hesabu yaliyofanywa na wakurugenzi, na vile vile kutathmini uwasilishaji wa taarifa za kifedha kwa ujumla.

Tuna imani ya kwamba ukaguzi wetu unatoa mtazamo mahususi wa maoni yetu ya kuridhisha.

Maoni

Kwenye maoni yetu:

- Vitabu vya mahesabu vilikaguliwa na kuwekwa vyema na Benki na huku madaftari ya mahesabu katika biashara ya benki yanaafiki hivyo.
- Taarifa ya kifedha inatoa maelezo ya kweli na haki kuhusu hali halisi ya Benki na kampuni kufikia tarehe 31 Desemba 2007 na faida na mapato halisi ya kampuni ya mwaka uliomalizika kulingana na viwango vya Kuripoti Mahesabu vya Kimataifa na kufuata kanuni za vifungu vya kisheria ya makampuni ya humu nchini.

Maandishi yaliyopo hapo juu ni tafsiri ya kiswahili ya "Taarifa ya Wakaguzi kwa Wenyejina wa NIC Bank Limited" inayoonekana kwenye ukurasa wa 28 wa taarifa hii. Iwapo patatokea ubishi wowote katika ufafanuzi wa Taarifa ya Wakaguzi, tafsiri ya Kiingereza ndiyo itakayo tambulika kama inayofaa.

The text set out above is a Kiswahili translation of the "Independent Auditor's Report to the members of NIC Bank Limited" which appears on page 28 of this report. In the event of any dispute over the interpretation of the Independent Auditor's Report, the English version shall be the authoritative version.

Deloitte & Touche
27 Februari 2008

Audit . Tax . Consulting . Financial Advisory .

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Deloitte Touche Tohmatsu

Partners: D.M. Ndorwa F.O. Alao B. Gadhaka D.C. Hodges J.M. Kuria M.M. Kiiru
J. Nyang'aya S.O. Oryango J.W. Wangui *British



CONSOLIDATED INCOME STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2007

	Note	2007 Shs'000	2006 Shs'000
Interest income	7	2,799,924	2,365,847
Interest expense	8	(1,159,829)	(911,250)
NET INTEREST INCOME		1,640,095	1,454,597
Fee and commission income		434,195	269,073
Fee and commission expense		(17,849)	(12,682)
NET FEE AND COMMISSION INCOME		416,346	256,391
Foreign exchange income	9	206,731	145,063
Other operating income	10	113,217	113,987
OPERATING INCOME		2,376,389	1,970,038
Net impairment loss on loans and advances	11 (c)	(100,067)	(133,389)
Employee expenses	12	(661,457)	(564,794)
General and administrative expenses	13	(564,958)	(594,783)
OPERATING EXPENSES		(1,326,482)	(1,292,966)
PROFIT BEFORE TAXATION		1,049,907	677,072
Income tax expense	14(a)	(304,220)	(219,068)
PROFIT FOR THE YEAR	15	745,687	458,004
EARNINGS PER SHARE - BASIC AND DILUTED	16	Shs 2.57	Shs 1.58
DIVIDEND PER SHARE			
- DECLARED	17	-	Shs 0.80
- PROPOSED	17	Shs 0.80	Shs 1.90

CONSOLIDATED BALANCE SHEET

AS AT 31 DECEMBER 2007



	Note	2007 Shs'000	2006 Shs'000
ASSETS			
Cash and balances with Central Bank of Kenya	18	2,419,208	2,675,169
Items in the course of collection from other banks		554,506	201,471
Deposits and balances due from banking institutions	19	2,682,391	3,750,047
Government securities	20	2,411,997	2,148,688
Derivative assets held for risk management	21	87,183	-
Loans and advances to customers	22	22,209,186	16,570,116
Other assets	23	199,393	146,104
Other investment	24(a)	157,138	-
Property and equipment	25	506,813	503,173
Intangible assets	26	45,203	59,520
Operating lease prepayments	27	8,000	8,125
TOTAL ASSETS		31,281,018	26,062,413
LIABILITIES			
Customer deposits	28	24,805,595	21,978,078
Deposits and balances due to banking institutions	29	-	165,089
Line of credit	30	650,100	278,195
Current income tax payable	14(c)	90,525	76,195
Other liabilities	32	959,707	469,229
Unclaimed dividends	17	30,136	26,427
Deferred tax liability	33	7,222	32,958
TOTAL LIABILITIES		26,543,285	23,026,171
EQUITY			
Share capital	34	1,483,462	412,073
Share premium	34	340,946	299,943
Revaluation surplus		101,775	104,768
Revenue reserves		2,608,812	2,069,308
Statutory reserve		202,738	150,150
TOTAL EQUITY		4,737,733	3,036,242
TOTAL LIABILITIES AND EQUITY		31,281,018	26,062,413

The financial statements on pages 30 to 78 were approved by the Board of Directors on 27 February 2008 and were signed on its behalf by:

J P M NDEGWA
Chairman

J W MACHARIA
Managing Director

F N MWANZIA
Director

L MURAGE
Company Secretary



BANK BALANCE SHEET AS AT 31 DECEMBER 2007

	Note	2007 Shs'000	2006 Shs'000
ASSETS			
Cash and balances with Central Bank of Kenya	18	2,419,208	2,675,169
Items in the course of collection from other banks		554,506	201,471
Deposits and balances due from banking institutions	19	2,682,391	3,750,047
Government securities	20	2,411,997	2,117,672
Derivative assets held for risk management	21	87,183	-
Loans and advances to customers	22	22,209,186	16,570,116
Other assets	23	194,189	141,899
Investment in subsidiary companies	24 (b)	277,666	80,501
Property and equipment	25	506,813	503,173
Intangible assets	26	45,203	59,520
Operating lease prepayments	27	8,000	8,125
TOTAL ASSETS		31,396,342	26,107,693
LIABILITIES			
Customer deposits	28	24,805,595	21,978,078
Deposits and balances due to banking institutions	29	-	165,089
Line of credit	30	650,100	278,195
Amounts due to group companies	31	134,872	46,865
Current income tax payable		90,808	75,897
Other liabilities	32	942,315	469,229
Unclaimed dividends	17	30,136	26,427
Deferred tax liability	33	7,319	32,958
TOTAL LIABILITIES		26,661,145	23,072,738
EQUITY			
Share capital	34	1,483,462	412,073
Share premium	34	340,946	299,943
Revaluation surplus		101,775	104,768
Revenue reserves		2,606,276	2,068,021
Statutory reserve		202,738	150,150
TOTAL EQUITY		4,735,197	3,034,955
TOTAL LIABILITIES AND EQUITY		31,396,342	26,107,693

The financial statements on pages 30 to 78 were approved by the Board of Directors on 27 February 2008 and were signed on its behalf by:

J P M NDEGWA
Chairman

J W MACHARIA
Managing Director

F N MWANZIA
Director

L MURAGE
Company Secretary

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2007



	Note	Share Capital Shs'000	Share Premium Shs'000	Revaluation Surplus Shs'000	Revenue Reserves Shs'000	Statutory Reserve Shs'000	Total Shs'000
At 1 January 2006		412,073	299,943	107,761	1,840,691	132,048	2,792,516
Transfer of excess depreciation		-	-	(4,276)	4,276	-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)	-	-
Profit for the year		-	-	-	458,004	-	458,004
Transfer to statutory reserve		-	-	-	(18,102)	18,102	-
Dividends:							
-final for 2005 paid	17	-	-	-	(148,346)	-	(148,346)
-interim for 2006 paid	17	-	-	-	(65,932)	-	(65,932)
At 31 December 2006		412,073	299,943	104,768	2,069,308	150,150	3,036,242
At 1 January 2007		412,073	299,943	104,768	2,069,308	150,150	3,036,242
Transfer of excess depreciation		-	-	(4,276)	4,276	-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)	-	-
Profit for the year		-	-	-	745,687	-	745,687
Transfer to statutory reserve		-	-	-	(52,588)	52,588	-
Rights issue	34	82,414	1,071,389	-	-	-	1,153,803
Rights issue expenses	34	-	(41,411)	-	-	-	(41,411)
Bonus issue	34	988,975	(988,975)	-	-	-	-
Dividends:							
-final for 2006 paid	17	-	-	-	(156,588)	-	(156,588)
At 31 December 2007		1,483,462	340,946	101,775	2,608,812	202,738	4,737,733

The revaluation surplus represents the surplus arising from the revaluation of property and equipment.

The statutory reserve represents an appropriation from retained earnings to comply with Central Bank of Kenya's prudential guidelines on impairment of loans and advances. It represents the excess of loan provision as computed in accordance with Central Bank of Kenya prudential guidelines over the impairment of loans and advances arrived at in accordance with IAS 39.

The revaluation surplus and statutory reserve are not distributable.



STATEMENT OF CHANGES IN EQUITY OF THE BANK FOR THE YEAR ENDED 31 DECEMBER 2007

	Note	Share Capital Shs'000	Share Premium Shs'000	Revaluation Surplus Shs'000	Revenue Reserves Shs'000	Statutory Reserve Shs'000	Total Shs'000
At 1 January 2006		412,073	299,943	107,761	1,840,817	132,048	2,792,642
Transfer of excess depreciation		-	-	(4,276)	4,276	-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)	-	-
Profit for the year		-	-	-	456,591	-	456,591
Transfer to statutory reserve		-	-	-	(18,102)	18,102	-
Dividends:							
- final for 2005 paid	17	-	-	-	(148,346)	-	(148,346)
- interim for 2006 paid	17	-	-	-	(65,932)	-	(65,932)
At 31 December 2006		412,073	299,943	104,768	2,068,021	150,150	3,034,955
At 1 January 2007		412,073	299,943	104,768	2,068,021	150,150	3,034,955
Transfer of excess depreciation		-	-	(4,276)	4,276	-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)	-	-
Profit for the year		-	-	-	744,438	-	744,438
Transfer to statutory reserve		-	-	-	(52,588)	52,588	-
Rights issue	34	82,414	1,071,389	-	-	-	1,153,803
Rights issue expenses	34	-	(41,411)	-	-	-	(41,411)
Bonus issue	34	988,975	(988,975)	-	-	-	-
Dividends:							
- final for 2006 paid	17	-	-	-	(156,588)	-	(156,588)
At 31 December 2007		1,483,462	340,946	101,775	2,606,276	202,738	4,735,197

The revaluation surplus represents the surplus arising from the revaluation of property and equipment.

The statutory reserve represents an appropriation from retained earnings to comply with Central Bank of Kenya's prudential guidelines on impairment of loans and advances. It represents the excess of loan provision as computed in accordance with Central Bank of Kenya prudential guidelines over the impairment of loans and advances arrived at in accordance with IAS 39.

The revaluation surplus and statutory reserve are not distributable.

CONSOLIDATED CASH FLOW STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2007



	Note	2007 Shs'000	2006 Shs'000
OPERATING ACTIVITIES			
Cash (used in)/generated from operations	36 (a)	(1,429,638)	3,666,578
Income tax paid	14 (c)	(315,626)	(146,887)
Net cash (used in)/generated from operating activities		<u>(1,745,264)</u>	<u>3,519,691</u>
INVESTING ACTIVITIES			
Other investment	24 (a)	(157,138)	-
Purchase of property and equipment	25	(110,861)	(62,348)
Purchase of intangible assets	26	(11,765)	(7,033)
Proceeds on sale of equipment		8,153	405
Net cash used in investing activities		<u>(271,611)</u>	<u>(68,976)</u>
FINANCING ACTIVITIES			
Dividends paid	17	(152,879)	(218,841)
Rights issue proceeds net of expenses	34	1,112,392	-
Net cash generated from/(used in) financing activities		<u>959,513</u>	<u>(218,841)</u>
NET (DECREASE) / INCREASE IN CASH AND CASH EQUIVALENTS		<u>(1,057,362)</u>	<u>3,231,874</u>
CASH AND CASH EQUIVALENTS AT 1 JANUARY		6,222,750	2,990,876
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	36 (b)	<u>5,165,388</u>	<u>6,222,750</u>



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2007

1 REPORTING ENTITY

NIC Bank Limited (The "bank") is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The bank's shares are listed on the Nairobi Stock Exchange (NSE).

2 BASIS OF PREPARATION

a) Statement of compliance

i) Statement of Compliance with International Financial Reporting Standards

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS).

ii) Adoption of new and Revised International Financial Reporting Standards

At the date of authorisation of these financial statements, the following Standards and Interpretations had become effective for the first time and have been adopted by the group where relevant to its operations. The comparative figures have been restated as required in accordance with the relevant requirements.

- IFRS 7 on Financial Instruments Disclosures; this standard introduces new qualitative and quantitative disclosure requirements about exposure to risks arising from financial instruments. Minimum disclosure on credit, market and liquidity risk have been defined.
- IAS 1 Amendment - Capital Disclosures - defines minimum disclosure requirements about the level of Bank Capital and management thereof.

The following amendments to an existing standard and new standards and interpretations will become effective on or after 1 January 2008.

- IFRS 8 on Operating Segments
- IFRIC 9 Reassessment of Embedded Derivatives
- IFRIC 10 Interim Financial Reporting and Impairment
- IFRIC 12 Service Concession Arrangements
- IFRIC 13 Customer Loyalty Programs
- IFRIC 14 IAS 19 the limit on a defined benefit asset, minimum funding requirement and their interaction

The adoption of these standards and interpretations, when effective, will have no material impact on the results of the group.

b) Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis of accounting as modified by the revaluation of property and financial instruments which are accounted for at fair value.

c) Functional and presentation currency

The financial statements are presented in Kenya Shillings (Shs), which is also the bank's functional currency. Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

d) Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reported period. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.



2) BASIS OF PREPARATION (Continued)

d) Use of estimates and judgements (Continued)

During the period, the areas involving a higher degree of judgement or complexity or where assumptions and estimates significant to the financial statements are disclosed in note 5 .

3) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been applied consistently throughout the year.

a) Basis of consolidation

The consolidated financial statements incorporate the financial statements of the bank and its subsidiaries for the year ended 31 December. A list of the bank's subsidiaries is set out in note 24.

Subsidiaries are those companies in which the bank either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations of the entities. Subsidiaries are consolidated from the date on which effective control is transferred to the group and are no longer consolidated as from the date of disposal.

Intra-company balances and any unrealised income and expenses arising from intra-company transactions are eliminated in preparing the consolidated financial statements.

Investment in the subsidiaries is accounted for at cost in the books of the bank.

b) Foreign currency transactions

Transactions in foreign currencies are translated to the functional currency of the group at exchange rates ruling at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the functional currency at the exchange rate at that date. The resultant foreign currency gain or loss is recognised in the income statement.

c) Interest income and expense

Interest income and expense for all interest bearing financial instruments are recognised within the income statement on accrual basis using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial instruments (or, where appropriate, a shorter period) to the carrying amount of the financial instruments. The effective interest rate is established on initial recognition of the financial asset and liability and is not revised subsequently.

The calculation of the effective interest rate includes all fees or received transaction costs, and discounts or premiums that are an integral part of the effective interest rate. Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or liability.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest that was used to discount the future cash flows for purposes of measuring the allowance for impairment.

d) Fees and commissions

In the normal course of business, the group earns fees and commission income from a diverse range of services to its customers. Fees and commission income and expenses that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

3) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

d) Fees and commissions (Continued)

Other fees and commission income, including account servicing fees, investment management fees, placement fees and syndication fees, are recognised as the related services are performed. When a loan commitment is not expected to result in the draw-down of a loan, loan commitment fees are recognised on a straight-line basis over the commitment period.

Other fees and commission expense relates mainly to transaction and service fees, which are expensed as the services are received.

e) Financial instruments

i. Recognition

The group initially recognises loans and advances, deposits and debt securities issued on the date that they are originated. All other financial assets and liabilities are initially recognised on the trade date at which the group becomes a party to the contractual provisions of the instrument.

ii. Classification

The group classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans, advances and receivables; and held-to-maturity investments. Management determines the appropriate classification of its investments at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. Derivatives are categorised as fair value through profit and loss.

Derivatives held for risk management

These comprise solely of forward foreign exchange contracts and are initially recognised at fair value on the date the derivative contract is entered into and subsequently measured at fair value. The fair value is determined using forward exchange market rates at the balance sheet date or appropriate pricing models. The derivatives do not qualify for hedge accounting. Changes in fair value of derivatives are recognised immediately in the income statement.

Loans, advances and receivables

Loans advances and receivables are non-derivative financial assets with fixed or determinable payments and fixed maturities that are not quoted in an active market. Loans and advances are recognised when cash is advanced to borrowers.

Held to maturity

These are non-derivative financial assets with fixed or determinable payments and fixed maturities that the group has the positive intention and ability to hold to maturity. Where a sale occurs, other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

Available-for-sale financial assets

Available-for-sale assets are financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans, advances and receivables, or (c) financial assets held to maturity.

Financial liabilities

Borrowings are classified as financial liabilities.



3) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

iii. Derecognition

The group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers substantially all the risks and rewards of ownership of the financial asset. A financial liability is derecognised when its contractual obligations are discharged or extinguished.

iv. Measurement

Financial instruments are initially recognised at fair value plus transaction costs.

Financial assets at 'fair value through profit and loss' are subsequently carried at fair value. Gains and loss arising from changes in the fair value in those assets are recognised in the income statement in the period in which they arise.

Loans and advances and held to maturity investments are carried at amortised cost using the effective interest rate method.

Financial liabilities are subsequently measured at amortised cost.

v. Impairment

The group reviews regularly, on a case-by-case basis, whether any objective evidence exists of impairment, individually for financial assets that are significant and individual or collectively for financial assets that are not individually significant. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

f) Offsetting

Financial assets and liabilities are set off and the net amount reported in the balance sheet when there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

g) Impairment of tangible and intangible assets

At each balance sheet date, the group reviews the carrying amount of its tangible and intangible assets to determine whether there is any indication that these assets have suffered an impairment loss.

If objective evidence on impairment losses exist, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the income statement. In cases where the asset is carried at revalued amount, the impairment loss is treated as a revaluation decrease.

In determining the recoverable amount, the group considers the higher of the fair value of the asset less costs to sell, and value in use. In estimating value in use, the group is cognisant of the estimated future cashflow discounted to the present value using a pre-tax discount rate that is reflective of the current market assessment of time value of money and the risks specific to the asset itself.

Intangible assets with indefinite useful life and intangible assets not yet available for use are tested for impairment annually, and when there is indication that the asset may be impaired.

Where impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised, unless such asset is carried at revalued amount, in which case the reversal of the impairment loss is treated as revaluation income.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

3) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

h) Loan impairment

At each balance sheet date, the group assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset, and that the loss event has an impact on the future cash flows on the asset that can be estimated reliably.

Objective evidence that financial assets are impaired can include default or delinquency by a borrower, restructuring of a loan or advance by the group on terms that the group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group.

Loan impairments are recognised promptly when there is objective evidence that impairment has occurred. In assessing impairment losses, the bank considers the following factors, in each category:

i) Individual assessed loans

- The aggregate exposure to the bank.
- The viability of the customer's business model and its capacity to trade successfully out of financial difficulties and generate sufficient cash flows to meet its debt obligation.
- The realisable value of the security (or other mitigants) and likelihood of successful repossession net of any costs involved in recovery of amounts.
- The amount and timing of expected receipts and, in cases of liquidation or bankruptcy, dividend available.
- The extent and complexity of other creditors commitment ranking pari passu with the group and the likelihood of other creditors continuing to support the company.

ii) Collectively assessed

- For loans not subject to individual assessment, to cover losses which have been incurred but have not yet been identified.
- For homogeneous groups of loans that are not considered individually significant, where there is objective evidence of impairment.

Homogeneous groups of loans

For homogeneous groups of loans that are not considered individually significant, or in other cases, when the portfolio size is small or when information is insufficient or not reliable enough, the group adopts a formulaic approach which allocates progressively higher percentage loss rates in line with the period of time for which a customer's loan is overdue. Loss rates are calculated from the discounted expected future cash flows from a portfolio. These rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure they remain appropriate.

Loan write -offs

An uncollectible loan is written off against the relevant provision of impairment, either partially or in full, when there is no realistic prospect of recovery and the proceeds from realising the security have been substantially or fully recovered.

Restructured loans

Restructured loans, whose terms have been renegotiated are no longer considered to be past due but are treated as new loans after the minimum required number of payments under the new arrangement have been received.



3) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

i) Employee expenses

i Retirement benefit obligations

The group operates a defined contribution plan under which the group pays fixed contributions into a separate entity. The group has no obligation, legal or constructive, to pay further contributions if the scheme does not have sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the group and the employees.

In addition, the group also contributes to the National Social Security Fund, which is a defined contribution scheme registered under the National Social Security Act. The contributions are determined by local statute.

The group's contributions to the defined contribution schemes are charged to the income statement in the year in which they relate.

ii. Short-term benefits

Short-term employee benefit obligations (e.g medical reimbursements and insurance) are measured on an undiscounted basis and are expensed as the related service is provided.

The monetary benefits for employee accrued leave entitlement at the balance sheet date are recognised as an expense accrual.

j) Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised on straight line basis over the period of the lease.

k) Income tax expense

Income tax expense comprises current and deferred tax. Current tax is the expected tax payable on the taxable profit for the year, using currently enacted tax rates.

Deferred tax is provided using the balance sheet liability method, for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Currently enacted tax rates are used to determine deferred tax.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

l) Earnings per share

The group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

m) Dividends

Dividends are charged to equity in the period in which they are declared. Proposed dividends are not accrued until they have been ratified at the Annual General Meeting.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2007

3) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

n) Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with Central Bank of Kenya (CBK), items in the course of collection from other banks, deposits held at call with banks and treasury bills with original maturities of less than three months. Such assets are generally subject to insignificant risk of changes in their fair value, and are used by the group in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the balance sheet.

o) Leases

When the group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of an asset to the lessee, the arrangement is classified as a finance lease within loans and advances. All other leases are classified as operating leases.

Minimum lease payments made under finance leases are apportioned between the finance income and the reduction of the outstanding asset. The finance income is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the asset.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease.

Rentals payable under operating leases are charged to the income statement over the terms of the relevant lease.

p) Repurchase agreements

When the group purchases a financial asset and simultaneously enters into an agreement to re-sell the asset (or a substantially similar asset) at a fixed price on a future date ("reverse repo or stock borrowing"), the arrangement is accounted for as a loan or advance, and the underlying asset is not recognised in the group's financial statements.

q) Property and equipment

i. Recognition and measurement

Items of property and equipment are measured at cost less accumulated depreciation. Buildings held for administrative purposes are stated in the balance sheet at their revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated depreciation.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items of property and equipment.

ii. Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are recognised in the income statement as incurred.



3) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

ii. Subsequent costs (Continued)

In relation to buildings, revaluations are performed with sufficient regularity such that the carrying amounts do not differ materially from those that would be determined using fair value at the balance sheet date. Any revaluation increase or decrease arising on the revaluation is credited to the revaluation surplus component of equity.

The gains or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the income statement.

iii. Depreciation

Depreciation is calculated on a straight-line basis to allocate the costs or revalued amounts over their estimated useful lives as follows:

Buildings	2%
Furniture, fittings and equipment	20%
Motor vehicles	20%
Computers	33.3%

Depreciation methods, useful lives and residual values are reassessed at each reporting date.

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus to revenue reserve.

r) Intangible assets

Acquired computer software and related licenses are stated at cost less accumulated amortisation. Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred. Where software is not an integral part of the related hardware it is recognised as an intangible assets.

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use. The estimate useful life of software is three to five years.

s) Borrowings – Line of credit

Line of credit represent drawn down facilities extended to the bank. These borrowings are recognised initially at fair value, net of transaction costs incurred. They are subsequently stated at amortised cost using the effective interest method.

t) Share capital

Ordinary shares are classified as equity.

u) Statutory reserve

IAS 39 requires the group to recognise an impairment loss when there is objective evidence that loans and advances are impaired. However, CBK prudential guidelines require the bank to set aside amounts for impairment losses on loans and advances in addition to those losses that have been recognised under IAS 39. Any such amounts set aside represent appropriations of retained earnings and not expenses in determining profit or loss. These amounts are dealt with in the statutory reserve.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2007

3) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

v) Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds are generally written by the bank to support performance by a customer to third parties. The bank will only be required to meet these obligations in the event the customer defaults. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

w) Fiduciary activities

Assets and income arising thereon together with related undertakings to return such assets to customers are excluded from these financial statements where the bank acts in a fiduciary capacity such as nominee, trustee or agent.

x) Segmental reporting

A segment is a distinguishable component of the group that is engaged either in providing products or services (business segment), or in providing products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments.

y) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

4) FINANCIAL RISK MANAGEMENT OBJECTIVES

a) Group risk management framework and governance structures

The board of directors has overall responsibility for the establishment and oversight of the group's risk management framework. As part of its governance structure, the board of directors has embedded a comprehensive risk management framework for measuring, monitoring, controlling and mitigation of the group's risks. The policies are integrated in the overall management information systems of the bank and supplemented by a management reporting structure.

Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees and stakeholders understand their roles and obligations.

The board's Credit and Risk Committee (CRC) is responsible for monitoring compliance with the group's risk management policies and procedures, and review of the adequacy of risk management framework in relation to the risks faced by the group. The group's CRC is assisted in these functions by various management committees which undertake both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the board.

The most important type of risks are:

- Credit risk
- Liquidity risk
- Market risk
 - Interest rate risk
 - Foreign exchange risk
- Operational risk
 - Compliance risk
 - Reputation risk
- Capital risk

The notes below provide detailed information on each of the above risks and the group's objectives, policies and processes for measuring and managing risk, and the group's management of capital.



4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

b) Credit risk

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the group. It arises principally from lending, leasing, trade finance and treasury activities. The amounts presented in the balance sheet are net of impairment for doubtful debts, estimated by the group's management based on prior experience and their assessment of the current economic environment.

i. Management of credit risk

The board of directors has delegated responsibility for the management of credit risk to its Credit and Risk Committee (CRC).

A Risk Management Department Head, who reports to the Managing Director for administrative purposes and to the board CRC on the delegated authorities, is responsible for oversight of the group's credit risk, including:

- Formulating credit policies in consultation with business units, covering risk acceptances criteria in target market, collateral requirements, credit appraisal, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
- Establishing the authorisation structure for the approval and renewal of credit facilities.
- Reviewing and assessing credit risk on all exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subject to the same review process.
- Limiting concentrations of exposure to counterparties and industries (for loans and advances).
- Developing and maintaining the group's risk gradings in order to categorise exposures according to the degree of risk of financial loss faced and to focus management on the attendant risks. The risk grading system is used in determining where impairment provisions may be required against specific credit exposures. The current risk grading framework consists of several grades reflecting varying degrees of risk of default and the availability of collateral or other credit risk mitigation. The responsibility for setting risk grades lies with the Committee and risk grades are subject to regular reviews by the CRC.
- Reviewing compliance of business units with agreed exposure limits, including those for selected industries and product types. Regular reports are provided to the CRC on the credit quality of local portfolios and appropriate corrective action is taken.
- Providing advice, guidance and specialist skills to business units to promote best practice throughout the group in the management of credit risk.

Each business unit is required to implement group credit policies and procedures, in line with credit approval authorities delegated from the CRC. Each business unit is responsible for the quality and performance of its credit portfolio and for monitoring and controlling all credit risks in its portfolios, including those subject to central approval.

Regular audits of business units and group credit processes are undertaken by Internal Audit.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

b) Credit risk (Continued)

ii. Maximum exposure to credit risk before collateral held

	2007		2006	
	Shs'000	%	Shs'000	%
Credit Exposures				
On - balance sheet items				
Items in the course of collection from other banks	554,506	2	201,471	1
Deposits and balances due from banking institutions	2,682,391	8	3,750,047	14
Loans and advances to customers	22,209,186	69	16,570,116	62
Government securities - Held to maturity	2,411,997	7	3,750,047	14
	27,858,080	86	24,271,681	91
Off-balance sheet items				
Letters of credit	2,097,602	6	1,089,147	4
Guarantee and performance bonds	2,452,565	8	1,219,311	5
	4,550,167	14	2,308,458	9
	32,408,247	100	26,580,139	100

The above represents the worst case scenario of credit exposure for both years, without taking account of any collateral held or other credit enhancements attached.

Loans and advances to customers and off-balance sheet items comprise of 83% of the total maximum exposure. While collateral is an important mitigant to credit risk, the group's policy is to establish that loans are within the capacity of the customer to repay, as the primary way out. Other than exposures amounting to Shs 905,926,000 (2006 Shs 814,172,000) that are unsecured, all other facilities are secured by collateral in the form of charges over cash, land and buildings, marketable securities, plant and machinery among others. The fair value of collateral held for impaired loans and advances is Shs 487,840,000. The group is confident that its policies and procedures provide sufficient safeguards against exposure on credit risk as shown on the table below:

iii. Classification of loans and advances

2007 Loans and advances to customers	Gross amounts Shs'000	Impairment allowances Shs'000	Net amounts Shs'000	%
Neither past due nor impaired	20,274,255	-	20,274,255	91
Past due but not impaired	1,502,954	55,863	1,447,091	7
Impaired	967,723	479,883	487,840	2
Total	22,744,932	535,746	22,209,186	100

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

b) Credit risk (Continued)

iii) Classification of loans and advances (Continued)

2006					
Loans and advances to customers		Gross amounts Shs'000	Impairment allowances Shs'000	Net amounts Shs'000	%
Neither past due nor impaired		15,070,960	-	15,070,960	91
Past due but not impaired		941,739	66,819	874,920	5
Impaired		1,270,943	646,707	624,236	4
Total		17,283,642	713,526	16,570,116	100

Apart from the loans and advances to customers all other credit exposures are neither past due nor impaired.

Loans and advances that are neither past due nor impaired

The group classifies loans and advances under this category for those exposures that are upto date and in line with contractual agreements. Such loans would have demonstrated financial conditions, risk factors and capacity to repay that are acceptable. These exposures will normally be maintained largely within approved product programs and with no signs of impairment or distress. These exposures are categorised as normal accounts in line with CBK prudential guidelines and a provision of 1 % is made and appropriated under statutory reserves.

Past due but not impaired

This category includes exposures that are over 30 days (31 - 90 days) past due, where losses have been incurred but have not been identified. These exposures are graded internally as category 2 in line with CBK guidelines.

Impaired loans and advances

Impaired loans and securities are loans and securities for which the group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan and securities agreements. These loans are graded categories 3 to 5 in the group's internal credit risk grading system. These accounts under CBK guidelines are termed as non-performing loans.

iv. Allowances for impairment

The group establishes an allowance for impairment losses that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loan loss allowance established for groups of homogeneous assets in respect of losses that have been incurred but have not been identified on loans subject to individual assessment for impairment.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

b) Credit risk (Continued)

v) Write-off policy

The group writes off loans and advances net of any related allowances for impairment losses, when the group's CRC determines that the loans and advances are uncollectible and securities unrealisable. This determination is reached after considering information such as the occurrence of significant changes in the borrower or issuer's financial position such that the borrower or issuer can no longer pay the obligation, or that proceeds from sale of collateral will not be sufficient to pay back the entire exposure and after exhausting all other means including litigation. For smaller balance standardised loans, charge off decisions are generally based on a product specific past due status.

vi) Collateral held

The group holds collateral against loans and advances to customers in the form of mortgage interests over property, registered securities over assets, and guarantees. Estimates of fair value are based on the value of collateral assessed at the time of borrowing, and refreshed after every three years. Security structures and legal covenants are also subjected to regular review to ensure they continue to fulfil their intended purpose. Collateral generally is not held over deposits and balance due from banks and items in the course of collection from other banks, except when securities are held as part of reverse repurchase and securities borrowing activity. Collateral usually is not held against government securities, and no such collateral was held at 31 December 2007 or 2006.

vii) Settlement risk

The group's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of a counter-party to honour its obligations to deliver cash, securities or other assets as contractually agreed.

For certain types of transactions the group mitigates this risk by pre-arranging facilities with the customer. Settlement limits form part of the credit approval / limit monitoring process described earlier. Acceptance of settlement risk on free settlement trades requires transaction specific or counterparty specific approvals from the CRC.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2007



4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

b) Credit risk (Continued)

viii Concentrations of risk

The group monitors concentration of risk by economic sector in line with set limits per sector. An analysis of concentrations within the loan and advances to customers, customer deposits and off balance sheet items are as follows:

1) Loans and advances to customers

	2007		2006	
	Shs'000	%	Shs'000	%
Wholesale and retail	1,508,873	7	1,391,092	8
Real estate	1,338,473	6	1,247,291	7
Agriculture	1,527,880	7	1,233,449	7
Social community and personal services	6,497,555	28	5,312,322	32
Manufacturing	4,846,634	21	2,976,321	17
Transport and communication	3,849,063	17	3,482,114	20
Other	3,176,454	14	1,641,053	9
	22,744,932	100	17,283,642	100

2) Customer deposits

	2007		2006	
	Shs'000	%	Shs'000	%
Mortgage finance companies	419,821	2	407,867	2
Co-operative societies	137,751	1	61,953	1
Insurance companies	2,354,410	9	2,240,411	10
Non profit institutions and individuals	6,955,654	28	6,162,867	28
Private enterprises	14,937,959	60	13,104,980	59
	24,805,595	100	21,978,078	100

3) Off-balance sheet items

	2007		2006	
	Shs'000	%	Shs'000	%
Agriculture	64,957	1	25,576	1
Business services	97,423	2	82,688	4
Wholesale and retail	104,583	2	66,732	3
Transport and communication	344,196	8	219,343	10
Manufacturing	1,755,700	39	671,179	29
Other	2,183,305	48	1,242,940	53
	4,550,164	100	2,308,458	100



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

c) Liquidity risk

Liquidity risk is the risk that the group will encounter difficulty in meeting obligations from financial liabilities. The Assets and Liabilities Committee (ALCO), a management committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposits withdrawals can be met when due, and that the group will not encounter difficulty in meeting obligations from its financial liabilities as they occur. ALCO relies substantially on the group Treasury department to coordinate and ensure discipline across the group and business units, certify sufficient liquidity under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the group's reputation.

The bank, like any other bank, does not maintain cash reserves to meet all of obligations as experience shows that a minimum level of reinvestment of maturing funds can be predicted with a high level of certainty.

i. Liquidity and funding management

The group's liquidity and funding policies require;

- The bank enters into lending contracts subject to availability of funds.
- Projecting cash flows by major currency and considering the level of liquid assets necessary in relation thereto.
- Monitoring balance sheet liquidity ratios against internal and regulatory requirements.
- Maintaining an array of diverse range of funding sources with back -up facilities.
- Monitoring depositor concentration in order to avoid undue reliance on large individual depositors and ensure a satisfactory funding mix.
- Investment in short term liquid instruments, which can easily be sold in the market when the need arises. Investments in property and equipment are properly budgeted for and done when the group has sufficient cash flows.
- Maintaining liquidity and funding contingency plans. These plans must identify early indicators of stress conditions and describe actions to be taken in the event of difficulties arising from systemic or other crises while minimising adverse long-term implications.

ii. Source of funding

The bank has an aggressive strategy aimed at increasing the customer deposit base. To this end, the bank maintains a diversified and stable funding base comprising of the core retail and corporate customers in addition to the nascent institutional banking component. The bank borrows from the inter bank market through transactions with other banks, and from the wholesale markets through transactions with pension funds and insurance companies for short term liquidity requirements.

iii. Exposure to liquidity risk

The key measure used by the group for managing liquidity risk is the ratio of net liquid assets to deposits from customers (liquidity ratio). For this purpose, net liquid assets are considered as including cash and cash equivalents and investment in securities for which there is an active and liquid market less any deposits from banks, as well as other borrowings and commitments maturing within the next month. The CBK requires that the bank maintains a cash reserve ratio computed as 6% of customer deposits of the preceding month.

Treasury receives information from other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the group as a whole. The liquidity requirements of business units and subsidiaries are met through various funding options to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2007



4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

c) Liquidity risk (Continued)

Consolidated data is not utilised in the management of group liquidity as management is of the opinion the figure will not materially differ from that of the bank. The table below details the liquidity ratio trends over the year:

	2007 %	2006 %
As at 31 December		
Average for the period	31.50	30.37
Maximum for the period	35.84	41.28
Minimum for the period	26.05	22.66

The table in note 41(a) shows the discounted cash flows on the group's financial liabilities and unrecognised loan commitments on the basis of their earliest possible contractual maturity. The group's expected cash flows on these instruments vary significantly from this analysis. For example, demand deposits from customers are expected to maintain a stable or increasing balance; and unrecognised loan commitments are not all expected to be drawn down immediately.

The Gross nominal inflow or outflow disclosed in note 41(b) is the contractual, undiscounted cash flow on the financial liability or commitment.

d) Market risk

The objective of market risk management process is to manage and control market risk exposures in order to optimise return on risk while maintaining a market profile as a provider of financial products and services. Market risk is the risk that movement in market factors, including interest rates and foreign currency exchange rates, will reduce income or value of portfolio.

Overall responsibility for management of market risk rests with ALCO. The Treasury department is responsible for the development of detailed market risk management policies (subject to review and approval by ALCO) and for the day to day implementation of those policies.

The management of market risk is supplemented by the monitoring of sensitivity analysis of the key market risk variables. The bank normally uses simulation models to measure the impact of changes in interest rates on net interest income. The key assumption used in these models include expected loan payoffs rates, loan volumes and pricing and changes in market conditions. Those assumptions are based on the best estimates of actual positions. The model cannot precisely predict the actual impact of changes in interest rates on income because these assumptions are highly uncertain.

i. Interest rate risk

The group is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rates, as funds are sourced at both fixed and floating rates. The maturities of asset and liabilities and the ability to replace at an acceptable cost, interest bearing liabilities as they mature, are important factors in assessing the group's exposure to changes in interest rates and liquidity.

In addition to maintaining an appropriate mix between fixed and floating rates deposit base, interest rates on advances to customers and other risk assets are either pegged to the bank's base lending rate or Treasury bill rate. The base rate is adjusted from time to time to reflect the cost of deposits.

Hedging activities are evaluated regularly in line with the average interest rate and the defined risk appetite. Optimal hedging strategies are applied, by positioning the balance sheet or protecting interest expense through different interest rate cycles.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

d) Market risk (Continued)

i. Interest rate risk (Continued)

Interest rates on customer deposits are negotiated between the bank and the customer with the bank retaining the discretion to adjust the rates in line with changes in market trends. The interest rates, therefore, fluctuate depending on the movement in the market interest rates. The group also invests in fixed interest rate instruments issued by the Government of Kenya through the CBK. The interest rate risk table is found in note 42.

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the group. It is unusual for a bank ever to completely be matched due to the nature of business terms and types.

Interest rate risk – stress test

We monitor the impact that an immediate hypothetical increase or decrease in interest rates of 125 basis points applied at the beginning of the year would have on our net interest income assuming a growing balance sheet and current interest rate risk profile. The following table summarises such estimated impact:

	2007 Shs'000	2006 Shs' 000
125 basis points increases in interest rates	14,662	18,114
125 basis points decrease in interest rates	(16,662)	(16,292)

The model does not take into account any corrective action in response to interest rate movements, particularly in adverse situations.

ii. Foreign exchange risk

The group is exposed to the risk that the value of financial instruments will fluctuate due to changes in foreign exchange rates. The board of directors sets limits on the level of exposure by currency and in total for both overnight and intra-day positions. Foreign currency risk is addressed through the following measures.

- On a daily basis, the overall foreign exchange risk exposure is measured using spot mid-rates as availed by the CBK and should not exceed 20% of the group's core capital.
- The single currency exposure, irrespective of short or long positions should not exceed the limit of 20% of core capital.
- Intra-day foreign exchange exposures are limited within strictly defined limits by the board of directors.

The table in note 43 summarises the group's exposure to foreign currency exchange rate risk at 31 December 2007.

Foreign exchange risk – stress test

Foreign currency exchange risks refer to the potential changes in current and future earnings or capital from movement in foreign exchange rates. The bank through stringent intra-day limit and overnight exposure limits ensures that potential risk of loss arising from foreign exchange fluctuations to the bank's capital is within prudential guidelines. Any material over-night position is covered by a stop-loss order with our international counter-parties. As a policy, the closing exposures are more to do with residual positions rather than a proprietary positions / transactions. The table below summarises the estimated impact of an increase or decrease of 125 basis points in the value of the Kenya Shilling against the four major currencies i.e. US Dollar, Sterling Pound, Euro and Japanese Yen.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

d) Market risk (Continued)

ii. Foreign exchange risk (Continued)

	2007 Shs'000	2006 Shs'000
125 basis points depreciation of the Kenya Shilling	597	258
125 basis points appreciation of the Kenya Shilling	(597)	(258)

e) Operational risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the group's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risk arises from all of the group's operations and are faced by all business entities.

The group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of controls to address operational risk is assigned to senior management within each business unit. The management team ensures that:

- An effective, integrated operational risk management framework that incorporates a clearly defined organizational structure is maintained.
- Each department has defined roles and responsibilities for all aspects of operational risk management.
- Appropriate tools that support the identification, assessment, control and reporting of key risks are used.
- All Information technological services systems architecture are highly scalable and require minimal lead-time to increase capacity to match growth in demand.
- Operational risk systems are subjected to independent reviews including testing from external reputable firms.
- A comprehensive business continuity plan is maintained and reviewed regularly.

i. Compliance risk

Compliance risk is the risk arising from failure to comply with relevant laws, regulations and regulatory requirements governing the conduct of business. It is the composite risk that can result in regulatory sanctions, financial penalties, litigation exposure and loss of reputation.

The compliance function is headed by a Compliance Manager, reporting directly to the Audit and Compliance Committee of the board and the Managing Director for administrative purposes. The function is tasked with the responsibility of:

- Development of compliance policies
- Advising management on compliance matters
- Assessment and monitoring of policies and compliance programs
- Reporting on compliance to the board of directors



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

ii. Reputation risk

The board of directors is of the opinion that the reputation of the group is of paramount importance to continued prosperity and is the responsibility of the managing director. Reputation risk can arise from social, ethical, or environmental issues, or as a consequence of operations risk events. The group's reputation depends upon the way in which business is conducted, but can also be affected by the way in which customers, to whom we provide financial services, conduct themselves.

Reputation risk is considered and assessed by the board of directors and senior management during the establishment of standards for all major aspects of business and the formulation of policy. These policies, which are an integral part of the internal control systems, are communicated through manuals and statements of policy, internal communication and training. The policies set out operational procedures in all areas of reputation risk, including money laundering deterrence, environmental impact, anti-corruption measures and employee relations.

The group has established a strong internal structure to minimize the risk of operational and financial failure and to ensure that a full appraisal of reputation risk is made before strategic decisions are taken.

f) Capital management

The group's objective when managing capital are driven by the broader concept of capital as defined by the CBK, which substantially relies on the guidelines developed by the Basel Committee, for supervisory purposes. Those objectives are intended to:

- Sustain a strong capital base to support the development of business.
- To safeguard the group's ability to continue as a going concern.
- To comply with the capital requirements set out by the CBK.

The bank's total regulatory capital is divided into two tiers;

- Tier 1 Capital (Core Capital): share capital, share premium, plus retained earnings.
- Tier 2 Capital (Supplementary Capital): 25% (subject to prior approval) of revaluation surplus, subordinated debt not exceeding 50% of tier 1 capital and hybrid capital instruments. Qualifying tier 2 Capital is limited to 100% of tier 1 capital.

In implementing current capital requirements, the CBK requires each bank to maintain;

- A minimum level of regulatory capital of Shs 250 million.
- A ratio of core capital to the risk-weighted assets plus risk-weighted off-balance sheet assets at or above the required minimum of 8%.
- Core capital of not less than 8% of total deposit liabilities.
- Supplementary capital of not less than 12% of risk-weighted assets plus risk-weighted off-balance sheet items.

The risk weighted assets are measured by means of a hierarchy of four risk weights classified according to the nature of, and reflecting an estimate of the credit risk associated with each asset and counterparty. A similar treatment is adopted for off-balance sheet exposure, with some adjustments to reflect the more contingent nature of the potential losses.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



4) FINANCIAL RISK MANAGEMENT OBJECTIVES (Continued)

f) Capital management (Continued)

	2007 Shs'000	2006 Shs'000
Tier 1 Capital	4,058,465	2,699,536
Tier 1 + Tier 2 Capital	4,286,647	2,875,878
Risk-weighted assets		
On-balance sheet	24,312,642	18,105,115
Off-balance sheet	1,312,788	2,197,922
Total risk-weighted assets	25,625,430	20,303,037
Basel ratios		
Tier 1 (CBK minimum - 8%)	15.84%	13.30%
Tier 1 + Tier 2 (CBK minimum - 12%)	16.73%	14.16%
Core Capital / Deposits Ratio (CBK minimum - 8%)	16.30%	12.28%

5) CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS IN APPLYING THE GROUP'S ACCOUNTING POLICIES

In the process of applying the group's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

These are dealt with below:

i. Impairment losses on loans and advances

The group reviews its loan portfolios to assess impairment regularly. In determining whether an impairment loss should be recorded in the income statement, the group makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cashflows from a portfolio of loans, before a decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

5) CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS IN APPLYING THE GROUPS ACCOUNTING POLICIES (Continued)

ii. Held-to-maturity investments

The group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the group evaluates its intention and ability to hold such investments to maturity. If the group fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value not amortised cost.

iii. Property and equipment

Critical estimates are made by the directors in determining depreciation rates for property and equipment.

iv. Fair value of derivatives financial instruments

The fair value of financial instruments that are not quoted in a active market are determined using valuation techniques. When valuation techniques are used, they are periodically validated and reviewed by qualified personnel independent of the area that created them. However, volatilities and correlation require management to make estimates. Changes in assumptions of these factors could affect reported fair value of financial assets.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



6) SEGMENTAL REPORTING

(a) Primary reporting format - Business segments

	Retail & Corporate Banking Shs'000	Asset Finance Shs'000	Other Shs'000	Total Shs'000
2007 REVENUE				
External revenue	1,999,424	969,333	585,310	3,554,067
Internal-segment revenues	(204,128)	(461,419)	665,547	-
	1,795,296	507,914	1,250,857	3,554,067
RESULTS				
Profit before tax and impairment losses	752,599	309,256	88,119	1,149,974
Loans and advances to customers	14,313,172	7,554,107	341,907	22,209,186
2006 REVENUE				
External revenue	1,421,222	960,142	512,606	2,893,970
Internal-segment revenues	(159,176)	(393,311)	552,487	-
	1,262,046	566,831	1,065,093	2,893,970
RESULTS				
Profit before tax and impairment losses	583,593	525,481	(298,613)	810,461
Loans and advances to customers	10,565,045	6,005,071		16,570,116

Liabilities and all other assets, other than advances to customers, are not directly attributable and neither can they be allocated to a particular segment. Consequently, these have not been included in segment information.

(b) Secondary reporting format - Geographical segments

The group operates wholly within Kenya.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

7) INTEREST INCOME

	2007 Shs `000	2006 Shs `000
Finance leases	954,883	941,391
Loans and advances to customers	1,588,857	1,147,188
Government securities - Held to maturity	152,348	224,741
Deposits and balances due from banking institutions	101,279	47,627
Corporate bonds	2,557	4,900
	<u>2,799,924</u>	<u>2,365,847</u>

8) INTEREST EXPENSE

	2007 Shs `000	2006 Shs `000
Customer deposits	1,097,023	876,466
Line of credit - Held to maturity	44,447	21,145
Deposits and balances due to banking institutions	18,359	13,639
	<u>1,159,829</u>	<u>911,250</u>

9) FOREIGN EXCHANGE INCOME

Gains on foreign currency dealings arose from trading in foreign currency transactions and also on the translation of foreign currency assets and liabilities.

10) OTHER OPERATING INCOME

The following items are included in other operating income:

	2007 Shs `000	2006 Shs `000
Rental income	21,118	20,027
Profit on disposal of equipment	3,217	165
Bad debt recoveries	5,226	5,779
	<u></u>	<u></u>

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



11) NET IMPAIRMENT LOSS ON LOANS AND ADVANCES

a. Specific allowance for impairment

	2007 Shs'000	2006 Shs'000
Balance as at 1 January	646,707	529,947
Charge for the year	111,023	139,029
Write-offs	(277,847)	(22,269)
At 31 December	<u>479,883</u>	<u>646,707</u>

b. Collective allowance for impairment

	2007 Shs `000	2006 Shs `000
Balance as at 1 January	66,819	72,459
Charge for the year	(10,956)	(5,640)
At 31 December	<u>55,863</u>	<u>66,819</u>

c. Total allowance for impairment

	2007 Shs `000	2006 Shs `000
Balance as at 1 January	713,526	602,406
Charge for the year	100,067	133,389
Write-offs	(277,847)	(22,269)
At 31 December	<u>535,746</u>	<u>713,526</u>

12) EMPLOYEE EXPENSES

The following items are included within staff costs:

	2007 Shs `000	2006 Shs `000
Gratuity provision	421	3,380
NSSF contributions	607	613
Pension costs – defined contribution	<u>44,185</u>	<u>45,046</u>



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

13) GENERAL AND ADMINISTRATIVE EXPENSES

The following items are included under this category:

	2007 Shs `000	2006 Shs `000
Auditors' remuneration	2,420	2,160
Directors' emoluments - fees	5,360	5,105
- other	46,682	39,320
Depreciation (note 25)	102,283	87,667
Software amortisation (note 26)	26,084	28,131
Amortisation of operating lease prepayments (note 27)	125	125
Share registrations costs / listing costs	13,848	12,213

14) INCOME TAX EXPENSE

a. Taxation expense

	2007 Shs `000	2006 Shs `000
Current tax		
Income tax based on taxable profit for the year at 30%	333,993	225,045
Prior year (over) / under provision - current tax	(4,037)	5,005
	329,956	230,050
Deferred tax: credit for the year (note 33)	(25,736)	(10,982)
	304,220	219,068

b. Reconciliation of tax expense to expected tax base based on accounting profit

The tax on the group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	2007 Shs `000	2006 Shs `000
Profit before income tax	1,049,907	677,072
Income tax calculated at the statutory rate of 30 %	314,972	203,122
Tax effect of expenses not deductible for tax	9,313	10,941
Prior year (over) / under provision - current tax	(4,037)	5,005
- deferred tax	(16,028)	-
	304,220	219,068

c. Taxation payable movement

	2007	2006
At beginning of the year	76,195	(6,968)
Tax charge (note 14 (a))	329,956	230,050
Income tax paid	(315,626)	(146,887)
At end of year	90,525	76,195

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



15) PROFIT FOR THE YEAR

The profit for the year dealt with in the bank financial statements of NIC Bank Limited is Shs 744,438,000 (2006 - Shs 456,591,000).

16) EARNINGS PER SHARE

Earnings per share is calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares outstanding during the year.

	2007	2006
Profit attributable to ordinary shareholders (Shs'000)	745,687	458,004
Weighted average number of ordinary shares		
Issued ordinary shares at 1 January	82,414,551	82,414,551
Effects of rights issue exercised	10,312,837	9,078,822
Effects of bonus shares issued	197,794,922	197,794,922
	<u>290,522,310</u>	<u>289,288,295</u>
Earnings per share (Shs)	<u>2.57</u>	<u>1.58</u>

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the parent entity. There were no discontinued operations during the year.

17) DIVIDENDS

At the Annual General Meeting scheduled for 28 May 2008, a final dividend in respect of 2007 of Shs 0.80 per share (2006 - Shs 1.90 per share) amounting to a total of Shs 237,354,000 (2006 - Shs 156,589,000) is to be proposed by the directors. The total estimated dividend for the year to be paid is therefore Shs 0.80 per share (2006 - Shs 2.70 per share) amounting to a total of Shs 237,354,000 (2006 - Shs 222,521,000). The final proposed dividend for the year is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

The movement in unclaimed dividends is as follows:

	2007 Shs '000	2006 Shs '000
At 1 January	26,427	30,990
Final dividend declared	156,588	148,346
Interim dividend declared	-	65,932
Dividend paid	(152,879)	(218,841)
At 31 December	<u>30,136</u>	<u>26,427</u>

Payment of dividends to members with shareholding of up to 12.5% is subject to withholding tax at the rate of 5% for residents and 10% for non-residents.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

18) CASH AND BALANCES WITH CENTRAL BANK OF KENYA

GROUP AND BANK

	2007 Shs `000	2006 Shs `000
Cash on hand	502,813	387,516
Balances with Central Bank of Kenya - Cash ratio requirement	1,433,974	1,303,422
Balances with Central Bank of Kenya under - repurchase agreements	144,384	708,195
Other (available for use by the group)	338,037	276,036
	<u>2,419,208</u>	<u>2,675,169</u>

The cash ratio requirement is non interest bearing and is based on the customer deposits with the bank as adjusted by the CBK requirements. As at 31 December 2007 the cash ratio requirement was 6% (2006 - 6%) of all customer deposits. These funds are not available for the day to day operations of the group.

19) DEPOSITS AND BALANCES DUE FROM BANKING INSTITUTIONS

GROUP AND BANK

	2007 Shs `000	2006 Shs `000
Balances due from banking institutions	2,579,211	3,657,994
Deposits due from banking institutions	103,180	92,053
	<u>2,682,391</u>	<u>3,750,047</u>

The weighted average effective interest rate for deposits and balances due from banking institutions at 31 December 2007 was 6.25% (2006 - 6.28%).

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



20) GOVERNMENT SECURITIES

These are securities held to maturity and are stated at amortised cost.

	Group		Bank	
	2007 Shs `000	2006 Shs `000	2007 Shs `000	2006 Shs `000
Treasury Bills				
Maturing within 90 days of the date of acquisition.	943,257	1,064,574	943,257	1,033,558
Maturing after 90 days of the date of acquisition.	1,468,740	1,033,558	1,468,740	1,033,558
	2,411,997	2,098,132	2,411,997	2,067,116
Treasury Bonds				
Maturing after 90 days of the date of acquisition.	-	50,556	-	50,556
	2,411,997	2,148,688	2,411,997	2,117,672

The weighted average effective interest rate on Treasury bills at 31 December 2007 was 7.20 % (2006 - 6.8 %) and the rate for Treasury bonds at 31 December 2006 was 9.5%.

21) DERIVATIVES ASSETS HELD FOR RISK MANAGEMENT

The amount represents the fair value of forward foreign exchange contracts. These derivative assets are measured at fair value through profit and loss.

22) LOANS AND ADVANCES TO CUSTOMERS

GROUP AND BANK

	2007 Shs `000	2006 Shs `000
Finance lease receivables	7,873,379	6,495,540
Personal loans	2,307,233	2,211,375
Commercial loans	12,536,487	8,520,630
Other	27,833	56,097
Gross loans and advances	22,744,932	17,283,642
Provisions for impairment of loans and advances		
Specific allowance	479,883	646,707
Collective allowance	55,863	66,819
	535,746	713,526
	22,209,186	16,570,116



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

22) LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

Included in net advances of Shs 22,209,186,000 (2006 - Shs 16,570,116,000) are loans and advances amounting to Shs 487,840,000 (2006 - Shs 624,236,000) net of specific provisions, which have been classified as non-performing.

Finance lease receivables, may be analysed as follows:

	2007 Shs `000	2006 Shs `000
Gross investment in finance leases		
Not later than 1 year	916,628	1,056,753
Later than 1 year and not later than 5 years	7,067,332	5,782,069
Over 5 years	8,675	-
	7,992,635	6,838,822
Unearned future finance income on finance leases	(119,256)	(343,282)
	7,873,379	6,495,540

The bank enters into finance leasing arrangements for certain plant, equipment and motor vehicles. The average term of finance leases entered into is 3 years. Unguaranteed residual values of assets leased under finance leases are estimated at nil (2006: nil).

The weighted average effective interest rates on advances to customers at year end were as follows:

	2007 %	2006 %
Finance lease receivable	14.14	14.90
Personal loans	14.18	14.20
Commercial loans	13.68	14.12
Other	7.05	7.50

23) OTHER ASSETS

	GROUP		BANK	
	2007 Shs `000	2006 Shs `000	2007 Shs `000	2006 Shs `000
Prepayments	40,708	20,534	40,708	20,534
Other receivables	158,685	125,570	153,418	121,365
Due from subsidiary company	-	-	63	-
	199,393	146,104	194,189	141,899

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



24) INVESTMENT IN SUBSIDIARY COMPANIES

a. Other investment

GROUP Available for sale		Holding %	2007 Shs `000	2006 Shs `000
Solid Investment Securities Limited		57.66%	157,138	-

The bank, through its subsidiary, NIC Capital Limited acquired controlling interest in Solid Investment Securities Limited (SISL), a company incorporated and domiciled in Kenya, effective 31 December 2007. However, control was effectively passed on 1 January 2008. The financial statements of SISL have, therefore, not been consolidated. SISL offers brokerage services and has a seat in the Nairobi Stock Exchange. All other subsidiary companies are controlled by the bank and have been consolidated into these financial statements and are all incorporated and domiciled in Kenya.

b. Investment in subsidiary companies

BANK		Holding %	2007 Shs `000	2006 Shs `000
National Industrial Credit Trustees Limited		100%	500	500
Mercantile Finance Company Limited		100%	50,000	50,000
The African Mercantile Banking Company Limited		100%	1	1
NIC Capital Limited		100%	227,165	30,000
			277,666	80,501

All the subsidiary companies have financial years ending 31 December.

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2006 - Shs nil), and the revenue reserve balance was Shs nil (2006 - Shs nil).

Mercantile Finance Company Limited did not trade during the year ended 31 December 2007. Its activities are limited to the recovery of its non performing debts. The audited financial statements show that the company made no profit or loss for the year (2006 - Shs nil).

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2007. The audited financial statements show that the company made no profit or loss for the year and the revenue reserve balance was Shs nil (2006 - Shs nil).

NIC Capital Limited was established in 2005 to offer investment banking services. The audited financial statements for the year ended 31 December 2007 show that the company made a profit of Shs 1,254,000 (2006 - profit of Shs 1,413,000).



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

25) PROPERTY AND EQUIPMENT

GROUP AND BANK

	Buildings Shs `000	Furniture fittings and equipment Shs `000	Motor vehicles Shs `000	Work in progress Shs `000	Total Shs `000
COST OR VALUATION					
At 1 January 2006	315,665	453,987	32,889	-	802,541
Additions	-	58,842	3,506	-	62,348
Disposals	-	(4,191)	-	-	(4,191)
At 31 December 2006	315,665	508,638	36,395	-	860,698
At 1 January 2007	315,665	508,638	36,395	-	860,698
Additions	-	25,728	1,767	83,366	110,861
Transfers	-	46,109	-	(46,109)	-
Disposals	-	(44,788)	(20,109)	-	(64,897)
At 31 December 2007	315,665	535,687	18,053	37,257	906,662
Comprising:					
Cost	16,057	535,687	18,053	37,257	607,054
Valuation - 2003	299,608	-	-	-	299,608
At 31 December 2007	315,665	535,687	18,053	37,257	906,662
DEPRECIATION					
At 1 January 2006	29,521	234,068	10,221	-	273,810
Charge for the year	8,111	71,470	8,086	-	87,667
Eliminated on disposals	-	(3,952)	-	-	(3,952)
At 31 December 2006	37,632	301,586	18,307	-	357,525
At 1 January 2007	37,632	301,586	18,307	-	357,525
Charge for the year	7,892	83,210	11,181	-	102,283
Eliminated on disposals	-	(44,733)	(15,226)	-	(59,959)
At 31 December 2007	45,524	340,063	14,262	-	399,849
NET BOOK VALUE					
At 31 December 2007	270,141	195,624	3,791	37,257	506,813
At 31 December 2006	278,033	207,052	18,088	-	503,173

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 177,392,805 (2006 - Shs 128,366,327) which were fully depreciated. The normal depreciation charge on these assets would have been Shs 42,280,973 (2006 - Shs 34,578,438). Computers are included under furniture, fittings and equipment.

Work in progress relates to the ongoing branch expansion and head office refurbishment

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



25) PROPERTY AND EQUIPMENT (CONTINUED)

GROUP AND BANK

Buildings were revalued as at 31 December 2003 by independent valuers, Lloyd Masika Limited, Registered Valuers, on an open market value basis by reference to market evidence of recent transactions for similar properties. At 31 December 2007, the net book value of buildings based on original cost was Shs 124,532,413 (2006 – Shs 128,366,327).

26) INTANGIBLE ASSETS

GROUP AND BANK

	Computer software	
	2007 Shs `000	2006 Shs `000
COST		
At 1 January	148,093	141,059
Additions	11,765	7,033
At 31 December	159,858	148,092
AMORTISATION		
At 1 January	88,571	60,441
Charge for the year	26,084	28,131
At 31 December	114,655	88,572
NET BOOK VALUE	45,203	59,520

27) OPERATING LEASE PREPAYMENTS

GROUP AND BANK

	Leasehold land	
	2007 Shs `000	2006 Shs `000
COST		
At 31 December	10,000	10,000
AMORTISATION		
At 1 January	1,875	1,750
Charge for the year	125	125
At 31 December	2,000	1,875
NET BOOK VALUE	8,000	8,125



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

28 CUSTOMER DEPOSITS

GROUP AND BANK

	2007 Shs `000	2006 Shs `000
Current accounts	6,930,110	6,344,265
Savings accounts	2,594,354	1,781,151
Call deposits	2,151,271	1,774,318
Fixed deposits	13,129,860	12,078,344
	<u>24,805,595</u>	<u>21,978,078</u>

29) DEPOSITS AND BALANCES DUE TO BANKING INSTITUTIONS

GROUP AND BANK

	2007 Shs `000	2006 Shs `000
Maturing within 90 days: Deposits due to banking institutions	-	165,089

The weighted average effective interest rate for deposits due to banking institutions at 31 December 2006 was 6.56%.

30) LINE OF CREDIT

GROUP AND BANK

The bank has an unsecured revolving medium term line of credit with Agence Francaise De Development (PROPARCO) for on-lending to customers with varying maturities as shown below.

	2007 Shs `000	2006 Shs `000
Maturity		
Payable within one year	115,788	85,076
Payable after one year and within three years	271,264	49,505
Payable after three years	263,048	143,614
	<u>650,100</u>	<u>278,195</u>

The weighted average effective interest rate on the line of credit at 31 December 2007 was 7.57% (2006 - 5.93%).

31) AMOUNTS DUE TO GROUP COMPANIES

BANK

	2007 Shs `000	2006 Shs `000
Deposits held - NIC Capital Limited	88,326	313
- Mercantile Finance Company Limited	4,526	4,532
Other payables - Mercantile Finance Company Limited	42,020	42,020
	<u>134,872</u>	<u>46,865</u>

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



32) OTHER LIABILITIES

	Group		Bank	
	2007	2006	2007	2006
	Shs `000	Shs `000	Shs `000	Shs `000
Bills payable	547,200	293,582	547,200	293,582
Other payables and accruals	397,266	168,753	380,199	168,753
Leave pay provision	15,241	6,894	14,916	6,894
	<u>959,707</u>	<u>469,229</u>	<u>942,315</u>	<u>469,229</u>

33) DEFERRED TAX LIABILITY

The net deferred tax liability, computed at the enacted rate of 30%, is attributable to the following items:

	Group		Bank	
	2007	2006	2007	2006
	Shs `000	Shs `000	Shs `000	Shs `000
Assets:				
Leave pay provision	(4,572)	(1,978)	(4,475)	(1,978)
Accelerated capital allowances	(15,064)	(9,964)	(15,064)	(9,964)
Collective allowance for impairment	(16,759)	-	(16,759)	-
	<u>(36,395)</u>	<u>(11,942)</u>	<u>(36,298)</u>	<u>(11,942)</u>
Liabilities:				
Revaluation surplus	43,617	44,900	43,617	44,900
	<u>7,222</u>	<u>32,958</u>	<u>7,319</u>	<u>32,958</u>
Movement in net deferred tax liability is as follows:				
As at 1 January	32,958	43,940	32,958	43,940
Income statement credit (note 14(a))	(25,736)	(10,982)	(25,639)	(10,982)
At 31 December	<u>7,222</u>	<u>32,958</u>	<u>7,319</u>	<u>32,958</u>



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

34) SHARE CAPITAL AND SHARE PREMIUM

	Number of shares	Share capital Shs '000	Share premium Shs '000
Balance at 1 January	82,414,551	412,073	299,943
Rights issue	16,482,910	82,414	1,071,389
Rights issue expenses	-	-	(41,411)
Bonus issue	197,794,922	988,975	(988,975)
Balance at 31 December	296,692,384	1,483,462	340,946

At 31 December 2007 the authorised share capital comprised 400,000,000 ordinary shares (2006: 82,414,551) with a par value of Shs 5. The issued shares are 296,692,384 (2006: 82,414,551) and are fully paid.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at general meetings of the bank.

35) OFF BALANCE SHEET FINANCIAL INSTRUMENTS, CONTINGENT LIABILITIES AND COMMITMENTS

	2007 Shs '000	2006 Shs '000
Letters of credit	2,097,602	1,089,147
Letters of guarantee and performance bonds	2,452,562	1,219,311
	4,550,164	2,308,458

In common with other banks, the bank conducts business involving acceptances, letters of credit, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for purchase and sale of foreign currencies, the nominal amounts of which are not reflected in the balance sheet.

Letters of credit are commitments by the bank to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers. Letters of guarantee and performance bonds are issued by the bank, on behalf of customers, to guarantee performance by customers to third parties. The bank will only be required to meet these obligations in the event of default by the customers.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2007



35) OFF BALANCE SHEET FINANCIAL INSTRUMENTS, CONTINGENT LIABILITIES AND COMMITMENTS (Continued)

Operating lease arrangements

The group as a lessor

At the balance sheet date, the group had contracted with tenants for the following future lease receivables:

	2007 Shs '000	2006 Shs '000
Within one year	14,543	20,027
In the second to fifth year inclusive	1,964	21,537
	<u>16,507</u>	<u>41,564</u>

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months notice to vacate the premises.

The group as a lessee

At the balance sheet date, the group had outstanding commitments under operating leases which fall due as follows:

	2007 Shs '000	2006 Shs '000
Within one year	36,241	33,201
In the second to fifth year inclusive	104,444	92,810
	<u>140,685</u>	<u>126,011</u>

Operating lease payments represent rentals payable by the group for its office premises. Leases are negotiated for an average term of 6 years.

Capital commitments

	2007 Shs '000	2006 Shs '000
Authorised but not contracted for	329,240	268,025
Authorised and contracted for	73,038	38,000
	<u>402,278</u>	<u>306,025</u>

Other commitments

Commitments to lend are agreements to lend to customers in future subject to certain conditions. Such commitments are normally made for fixed periods. The bank may withdraw from its contractual obligations to extend credit by giving reasonable notice to the customers.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

36) NOTES TO THE CASH FLOW STATEMENT

	2007 Shs `000	2006 Shs `000
a. Reconciliation of profit before taxation to cash (used in) / generated from operations		
Profit before taxation	1,049,907	677,072
Adjustments for:		
Depreciation	102,283	87,667
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	26,084	28,131
Profit on sale of equipment	(3,217)	(165)
Profit before working capital changes	1,175,182	792,830
Increase in balances with Central Bank of Kenya (cash ratio requirement)	(130,552)	(321,621)
Increase in advances to customers	(5,639,070)	(2,310,830)
Decrease in Treasury bonds	50,556	356,345
Increase in Treasury bills maturing after 90 days	(435,182)	(451,424)
Increase in derivatives held for risk management	(87,183)	-
(Increase)/decrease in other assets	(53,289)	179,669
Increase in customer deposits	2,827,517	5,402,680
Increase in other liabilities	490,478	95,138
Increase/(decrease) in line of credit	371,905	(76,209)
Cash (used in) / generated from operations	<u>(1,429,638)</u>	<u>3,666,578</u>

	2007 Shs `000	2006 Shs `000
b. Analysis of balances of cash and cash equivalents as shown in the balance sheet and notes		

Cash on hand	502,813	387,516
Balance with Central Bank of Kenya under repurchase agreement	144,384	708,195
Balance with Central Bank of Kenya – other	338,037	276,036
Treasury bills	943,257	1,064,574
Deposits and balances due from banking institutions	2,682,391	3,750,047
Items in course of collection from other banks	554,506	201,471
Deposits and balances due to banking institutions	-	(165,089)
	<u>5,165,388</u>	<u>6,222,750</u>

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



37) RELATED PARTY TRANSACTIONS

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

Placements are made in the bank by staff, directors, their associates and companies associated with directors. Advances to customers at 31 December 2007 include advances and loans to staff and to companies associated with directors. Contingent liabilities at 31 December 2007 include guarantees and letters of credit for companies associated with directors.

	Directors Associated Companies		Employees / Staff	
	2007	2006	2007	2006
	Shs `000	Shs `000	Shs `000	Shs `000
Loans and advances to customers:				
At 1 January	328,738	284,376	233,913	200,315
Net movement during the year	(1,878)	44,362	81,448	33,598
At 31 December	<u>326,860</u>	<u>328,738</u>	<u>315,361</u>	<u>233,913</u>
Interest earned	<u>48,824</u>	<u>30,518</u>	<u>17,400</u>	<u>17,162</u>

These loans and advances are performing and are adequately secured.

Customer deposits:				
At 1 January	3,537,368	2,658,709	48,507	24,792
Net movement during the year	(3,073)	878,659	(19,200)	23,715
At 31 December	<u>3,534,295</u>	<u>3,537,368</u>	<u>29,307</u>	<u>48,507</u>
Interest paid	<u>135,596</u>	<u>134,892</u>	<u>298</u>	<u>1,151</u>
Guarantees and letters of credit to companies associated with directors	<u>144,479</u>	<u>87,995</u>	<u>-</u>	<u>-</u>

Other amounts outstanding at balance sheet date are disclosed in notes 23 and 31.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007

37) RELATED PARTY TRANSACTIONS (Continued)

Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

	2007 Shs `000	2006 Shs `000
Salaries and other benefits	202,834	180,467
Directors' remuneration		
Fees for services as directors	5,360	5,105
Other emoluments (included in key management compensation above)	46,682	39,320
	<u>52,042</u>	<u>44,425</u>

38) ASSETS PLEDGED AS SECURITY

As at 31 December 2007, there were no assets pledged by the group to secure liabilities and there were no secured group liabilities.

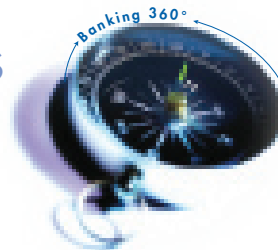
39) FAIR VALUE

The directors consider that there is no material difference between the fair value and carrying value of the group's financial assets and liabilities where fair value details have not been presented.

40) FIDUCIARY ACTIVITIES

The bank holds asset security documents on behalf of customers with a value of Shs 16,908,516,903 (2006 - Shs 7,628,452,528). These securities are held by the Custody Services department and comprise deposits with financial institutions, government securities and quoted and unquoted securities, among others.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



41) (d) LIQUIDITY RISK

ASSETS	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	4 to 5 Years Shs'000	Over 5 Years Shs'000	Shs'000
Cash and balances with Central Bank of Kenya	1,633,837	629,429	124,881	1,561	-	29,500	2,419,208
Items in the course of collection from other banks	554,506	-	-	-	-	-	554,506
Deposits and balances due from banking institutions	2,682,391	-	-	-	-	-	2,682,391
Government securities	387,927	555,330	1,468,740	-	-	-	2,411,997
Derivative assets held for risk management	87,183	-	-	-	-	-	87,183
Loans and advances to customers	827,465	2,580,873	5,998,191	6,617,778	4,938,296	1,246,583	22,209,186
Other assets	199,393	-	-	-	-	-	199,393
Total Assets	6,372,702	3,765,632	7,591,812	6,619,339	4,938,296	1,276,083	30,563,864
LIABILITIES							
Customer deposits	11,730,407	10,887,980	2,160,205	27,003	-	-	24,805,595
Line of credit	5,516	-	110,272	271,264	156,231	106,817	650,100
Current income tax payable	-	-	90,525	-	-	-	90,525
Other liabilities	959,707	-	-	-	-	-	959,707
Unclaimed dividends	30,136	-	-	-	-	-	30,136
Total Liabilities	12,725,766	10,887,980	2,361,002	298,267	156,231	106,817	26,536,063
Net Liquidity Gap	(6,353,064)	(7,122,348)	5,230,810	6,321,072	4,782,065	1,169,266	4,027,801
At 31 December 2006							
Total assets	7,518,990	2,715,592	4,919,893	5,353,873	4,171,473	811,774	25,491,595
Total liabilities and shareholders' funds	10,604,520	10,133,540	2,024,927	86,612	143,614	-	22,993,213
Net Liquidity Gap	(3,085,530)	(7,417,948)	2,894,966	5,267,261	4,027,859	811,774	2,498,382



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2007

41) (b) LIQUIDITY RISK

(UNDISCOUNTED CASH FLOWS)

LIABILITIES

Customer deposits
Line of credit
Current income tax payable
Other liabilities
Unclaimed dividends

Total liabilities

ASSETS

Cash and balances with Central Bank of Kenya
Items in the course of collection from other banks
Deposits and balances due to banking institutions
Government securities
Derivative assets held for risk management
Loans and advances to customers
Other assets

Total assets

Net Liquidity Gap

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
Customer deposits	11,780,849	11,626,834	2,315,709	32,528	-	25,755,920
Line of credit	5,566	-	118,620	332,868	322,786	779,840
Current income tax payable	-	-	90,525	-	-	90,525
Other liabilities	959,907	-	-	-	-	959,907
Unclaimed dividends	30,136	-	-	-	-	30,136
Total liabilities	12,776,458	11,626,834	2,524,854	365,396	322,786	27,616,328
Cash and balances with Central Bank of Kenya	2,419,208	-	-	-	-	2,419,208
Items in the course of collection from other banks	554,506	-	-	-	-	554,506
Deposits and balances due to banking institutions	2,696,362	-	-	-	-	2,696,362
Government securities	403,456	580,762	1,608,000	-	-	2,592,218
Derivative assets held for risk management	87,183	-	-	-	-	87,183
Loans and advances to customers	834,614	2,647,814	6,430,061	8,047,218	7,520,813	25,475,520
Other assets	199,393	-	-	-	-	199,393
Total assets	7,194,722	3,228,576	8,038,061	8,047,218	7,520,813	34,024,390
Net Liquidity Gap	5,581,736	8,398,258	(5,513,207)	(7,681,822)	(7,198,027)	(6,408,062)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2007



42) INTEREST RATE RISK

FINANCIAL ASSETS

Cash and balances with Central Bank of Kenya
Items in the course of collection from other banks
Deposits and balances due from banking institutions
Government securities
Derivative assets held for risk management
loans and advances to customers

Total financial assets

FINANCIAL LIABILITIES

Customer deposits
Line of credit

Total financial liabilities

Interest rate sensitivity gap

At 31 December 2006

Total financial assets
Total financial liabilities

Interest rate sensitivity gap

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Non-interest Bearing Shs'000	Total Shs'000
Cash and balances with Central Bank of Kenya	144,384	-	-	-	-	2,274,824	2,419,208
Items in the course of collection from other banks	-	-	-	-	-	554,506	554,506
Deposits and balances due from banking institutions	2,682,391	-	-	-	-	-	2,682,391
Government securities	387,927	555,330	1,468,740	-	-	-	2,411,997
Derivative assets held for risk management	-	-	-	-	-	87,183	87,183
loans and advances to customers	827,465	2,580,873	5,998,191	6,617,778	6,184,879	-	22,209,186
Total financial assets	4,042,167	3,136,203	7,466,931	6,617,778	6,184,879	2,916,513	30,364,471
FINANCIAL LIABILITIES							
Customer deposits	5,500,747	10,887,980	2,160,205	27,003	-	6,229,660	24,805,595
Line of credit	5,516	-	110,272	271,264	263,048	-	650,100
Total financial liabilities	5,506,263	10,887,980	2,270,477	298,267	263,048	6,229,660	25,455,695
Interest rate sensitivity gap	(1,464,096)	(7,751,777)	5,196,454	6,319,511	5,921,831	(3,313,147)	4,908,776
At 31 December 2006							
Total financial assets	5,956,633	2,108,195	4,809,459	5,351,675	4,951,084	2,314,549	26,575,708
Total financial liabilities	3,420,330	10,133,540	1,948,732	86,612	143,614	7,157,763	22,890,591
Interest rate sensitivity gap	2,536,303	(8,025,345)	2,860,727	5,265,063	4,807,470	(4,843,214)	3,685,117



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2007

43) CURRENCY RISK

FINANCIAL ASSETS

Cash and balances with Central Bank of Kenya
Items in the course of collection from other banks
Deposits and balances with banking institutions
Loans and advances to customers

Total financial assets

FINANCIAL LIABILITIES

Customer deposits
Line of credit

Total financial liabilities

Net balance sheet position

OFF BALANCE SHEET POSITION

2006

Total financial assets
Total financial liabilities

Net balance sheet position

OFF BALANCE SHEET POSITION

	GBP Shs'000	USD Shs'000	EURO Shs'000	OTHERS Shs'000	TOTAL Shs'000
	7,044	109,103	15,475	2,410	134,032
	-	110,261	-	-	110,261
	104,329	1,315,606	324,699	896,934	2,641,568
	161,712	4,271,511	280,726	-	4,713,949
	273,085	5,806,481	620,900	899,344	7,599,810
	265,975	3,393,474	481,754	1,451	4,142,654
	-	519,118	130,982	-	650,100
	265,975	3,912,592	612,736	1,451	4,792,754
	7,110	1,893,889	8,164	897,893	2,807,056
	(1,513)	(1,908,986)	(14,037)	(891,239)	(2,815,775)
	379,070	4,242,409	598,502	1,110,284	6,330,265
	446,281	3,004,947	661,595	181,090	4,293,913
	(67,211)	1,237,462	(63,093)	929,194	2,036,352
	68,080	(1,207,305)	-	(955,629)	(2,094,854)



The Secretary,
NIC Bank Limited,
NIC House
Masaba Road,
P.O. Box 44599,
00100, GPO Nairobi

Proxy

I/We _____

of _____

being a member/members of NIC Bank Limited and entitled to

votes hereby appoint _____

of _____

or failing him _____

of _____

as my/our Proxy to vote for me/us on my/our behalf at the Annual General meeting of the company to be held on 28 May 2008 and at any adjournment thereof.

As witness my/our hand this _____ day of _____ 2008

Signature(s) of

Note: In case of a Corporation, the Proxy must be made under its Common Seal.



Katibu,
NIC Bank Limited,
NIC House
Masaba Road,
P.O. Box 44599,
00100, GPO Nairobi

Wakala

Mimi/Sisi _____

wa anuani hii _____

nikiwa mwanachama/tukiwa wanachama wa NIC Bank Limited na

nikiwa/tukiwa na haki ya kura _____

namchagua/tunamchagua _____

wa sanduku la posta _____

na akiwa hatapata nafasi nimechagua/tumechagua _____

wa sanduku la posta _____

akiwa mwakilishi wangu/wetu kunipigia/kutupigia kura kwa niaba yangu/yetu katika Mkutano wa
Mwakawa Kampuni utakaofanyika tarehe 28 Mei 2008 au tarehe yoyote iwapo mkutano utahairishwa.
Nashuhudia/twashuhudia kwa mkono/mikono wangu/yetu siku hii ya

tarehe _____ mwezi wa _____ 2008

Sahihi

ELEWA: Mwakala akiwa anaiwakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa
kampuni hiyo (common seal)